CERTIFICATION

I, **John Vherlin C. Magday,** is a duly authorized representative of Pryce Corporation with SEC registration number 168063 and with principal office at 17th Floor Pryce Center, 1179 Chino Roces Ave., Makati City, do hereby certify and state that:

1. On behalf of Pryce Corporation, I have caused the preparation of the company's Quarterly Report as of September 30, 2025 (**SEC Form 17-Q Report: 3Q-2025)**;
2. I have read and understood its content which are true and correct, of my own personal knowledge and/or based on true records;
3. Pryce Corporation hereby complies with the requirements and guidelines of the SEC for complete and official submission of reports, and/or documents through electronic mail;
4. I am fully aware that documents filed online which requires pre-evaluation and/or processing fees shall be considered complete and officially received only upon payment of a filing fee, if applicable.

IN WITNESS WHEREOF, I have hereunto set my hands this 06 NOV 2025, 2025.

John Vherlin C. Magday
Corporate Information & Compliance Officer

SUBSCRIBED AND SWORN to before me, a notary public, in the City of Makati, this 06 NOV 2025. Affiant personally came and appeared with UMID No. 0111-9967611-1, known to me as the same person who personally signed the foregoing instrument before me.

Doc. No. 430;
Page No. 87;
Book No. 41;
Series of 2025.

ATTY. RENE MA. M. VILLA
Notary Public of Makati City
Appointment No. M-110
(Ren) (2025 2026)
Until December 31, 2026
PTR No.10467471, 01-03-2025; Makati City
IBP Lifetime No. 013595; 12-27-2013; I.C
Roll No. 37226
MCLE Compliance No. VIII-0012754; 08-27-2024
Ground Floor, Makati Terraces Condominium
3650 Davila St., Tejeros, Makati City

COVER SHEET

				1	6	8	0	6	3

S.E.C. Registration Number

PRYCE
CORPORATION

(Company's Full Name)

17/F PRYCE CENTER CHINO
ROCES AVENUE MAKATI CITY

(Business Address: No. Street City/ Town / Province)

John Vherlin C. Magday
Contact Person

(02) 8 899-4401
Company Telephone Number

1	2		3	1
Month			*Day*	

Fiscal Year

17-Q
FORM TYPE

0	6		2	7
Month			*Day*	

ANNUAL MEETING

Secondary License Type, if Applicable

MSRD

Dept. Requiring this Doc.

Amended Articles Number/Section

359 (as of September 30, 2025)
Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document I.D.

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025

2. Commission identification number 168063

3. BIR Tax Identification No. 000-065-142-000

4. PRYCE CORPORATION (formerly Pryce Properties Corporation)

5. Metro Manila, Philippines

6. Industry Classification Code:

7. 17th Floor Pryce Center, 1179 Chino Roces Avenue cor. Bagtikan St. Makati City 1203

8. (0632) 899-44-01 (Trunkline)

9. N. A.

   Former name, former address, and former fiscal year, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA, as of September 30, 2025.

Title of Each Class	No. of Outstanding shares
Common Shares	1,880,546,169
Treasury Shares	143,953,831

11. Are any or all of the securities listed on a Stock Exchange?
    Yes { / } No { }
    Philippine Stock Exchange Common Stock

12. Indicate by check mark whether the registrant:

    (a) has filed reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

    Yes { / } No { }

    (b) has been subject to such filing requirements for the past ninety (90) days.

    Yes { / } No { }

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

Please see attached.

Item 2. Management Discussion and Analysis of Financial Condition and Results of Operations

Pryce Corporation (PC) and its subsidiaries' aggregate net income during the first nine months of the year 2025 rose by 35.1%, from year-ago net income of Php 2.21 billion to Php 2.99 billion this year. The company's consolidated revenues also went up by 10.6%, from last year's revenues of Php 15.34 billion to this year's Php 16.97 billion. Overall LPG (cooking gas) sales volume for the first nine months of 2025 increased by 2.8%, while overall industrial gases sales volume for the similar period rose by 73.4% year-on-year.

Liquefied petroleum gas (LPG) and industrial gases are products of Pryce Gases, Inc. (PGI) – a subsidiary of PC. Real estate business is under PC; while vitamins and supplements are handled by Pryce Pharmaceuticals, Inc. (PPhI), also a subsidiary of PC. Oro Oxygen Corporation (OOC), a subsidiary of PGI, distributes LPG and industrial gases in Luzon. San Fabian Oxygen Corporation, a fully-owned subsidiary of PGI engaged in the trade production of various kinds of gases, was incorporated to supply the industrial gas requirements of PGI and OOC.

<u>Revenue and Volume Growth</u>

The above-mentioned 10.6% increase in consolidated revenues is mainly driven by increased LPG and industrial gases sales volume, as well as gains on marketable securities and other income totaling Php 1.6 billion.

For the first nine months of 2025, revenues from LPG products (consisting of cooking gas, cylinders, LPG gensets, stoves & accessories) increased by 3.81%, from Php 14.07 billion last year to this year's Php 14.61 billion. Industrial gas revenues also remain on an upward trajectory for the similar period by 32.03%, or from Php 665.51 million last year to Php 878.70 million this year.

Real estate and memorial park operations for the first nine months of 2025 generated a 19.63% increase in revenues to Php 279.40 million, while revenues from pharmaceutical products for the same period went up by 24.04% to Php 45.25 million. Dividend and other income reached a 214% year-on-year increase for the first nine months of 2025, with this year's Php 310.05 million as against last year's Php 98.75 million. Lastly, revenues attributable to financial assets at fair value through profit or loss (FVPL) rose by 269% for the first nine months of 2025, from last year's Php 229.81 million to this year's Php 847.28 million.

On contributions to consolidated revenues for the first nine months of 2025, the business segments of the company contributed as follows: LPG business contributed Php 14.61 billion or 86.09%; industrial gas products provided Php 878.70 million or 5.18%; real estate and memorial park operations pitched in an aggregate of Php 279.40 million or 1.65%; pharmaceutical products accounted for Php 45.25 million or 0.27%; dividend and other income shouldered Php 310.05 million or 1.83%; and fair value gain (loss) on financial assets at FVPL shared Php 847.28 million or 4.98%.

<u>Market Demand and Price Movement</u>

The international contract price (CP) of LPG directly impacts local LPG prices. For the first nine months of 2025, the average CP made a year-on-year decrease by 4.19%, from last year's US$ 601.78 per metric ton (MT), to this year's US$ 576.56 per MT.

The average CP in the first quarter of 2025 was US$ 618 per MT, lower than last year's US$ 633.67, while average CP for the first half of 2025 also slightly went down to US$ 606.17 per MT, as against last year's US$ 612.08 per MT, year-on-year.

The latest 2024 report from the Department of Energy indicated a promising 2.8% growth in industry sales volume: from 1,898 thousand MT in 2023 to 1,951 thousand MT in 2024.

Competition

PGI remains a major player in the LPG industry, particularly in the Visayas and Mindanao regions. Based on DOE's latest 2024 data,

PGI's overall market share is 13.3%, while its regional market shares are: 10% in Luzon (including NCR); 21% in Visayas; and 27% in Mindanao. PGI has a combined 24% market share of the Vis-Min area.

The company foresees a continuing upward trajectory in 2025, given its nationwide expansions in its marine-fed terminals, refilling plants, and sales centers across the country over the past several years, as well as the switch of households to branded LPG.

Profitability

As mentioned above, the company's consolidated revenues went up by 10.6% to Php 16.97 billion. The company's consolidated costs and expenses for the similar period slightly increased by 6.51%, from last year's Php 13.124 billion to this year's Php 13.979 billion, with costs and expenses attributable to the LPG business having the biggest share at Php 10.602 billion, equivalent to 75.84% of the total costs and expenses. This is followed by the company's operating expenses at Php 1.949 billion or 13.94%, and costs and expenses from the industrial gases business at Php 609.78 million or 4.36%.

Despite the increase in costs and expenses, the resulting net income for the first nine months of 2025 still rose by 35.1%, from Php 2.21 billion to Php 2.99 billion this year. This rise in net income is brought by the growing number of Luzon households which started switching to branded LPG, resulting in an impressive improvement of LPG margins.

Earnings per share ("EPS") of the company for the first nine months of 2025 grew by 36% from Php 1.083 to Php 1.475. The greater increase in EPS, compared to the company's net income, is due to the lower number of outstanding shares as a result of the company's continuous buyback of its shares.

Other performance indicators have also notably increased as a result of the improvement in the net income. For the first nine months of 2025, return on assets increased by 10.31%, or from 11.12% to 12.26%; return on equity also went up by 9.51%, or from 15.82% to 17.33%; while net profit margin likewise improved significantly by 13.72%, or from 18.29% to 20.80%, all year-on-year.

Liquidity

Liquid assets of the company as of September 30, 2025 totalled Php 9.34 billion, which is composed of Php 4.11 billion of cash and cash equivalents and Php 5.23 billion of financial assets at FVPL. Other liquid assets of the company as of the same period consisted of trade and other receivables amounting to Php 560.01 million.

Current ratio as of September 30, 2025, was at 2.19:1 while total debt-to-equity ratio stood at 0.41:1.

Balance Sheet Changes

Compared to the December 31, 2024 audited accounts, the substantial movements in balance sheet accounts are as shown below.

Account Name	% Increase or (Decrease)	Reason for Change
Cash and cash equivalents	(13.44%)	Payments of Cash Dividends, Income Tax and Acquisition of Properties
Financial assets at FVPL	166.88%	Increase in value and additional acquisition of marketable securities
Trade and other receivables	(29.55%)	Collection of various accounts
Inventories	(10.39%)	Decrease in import cost
Property plant and equipment	7.74%	Additional acquisition of property
Other non-current asset	17.52%	Advances for land acquisition
Trade and other payables	46.10%	Increase in purchases and various accruals
Dividends payable	(88.86%)	Payment of dividends
Income tax payable	(29.01%)	Payment of Income tax
Customers' deposit	19.44%	Additional deposits and sales for real estate products
Lease liabilities (current)	(21.02%)	Payment of lease
Borrowings (net of current portion)	81.97%	Additional availment of loans
Retirement benefit obligation	23.42%	Additional accrual of retirement benefits
Retained earnings	19.06%	Due to net income of 2025
Non-controlling Interest	16.15%	Share in net income 2025

Numerical Performance Indicators

The measures of revenue growth are presented below.

REVENUE GROWTH			
Pryce Corporation & Subsidiaries			
	2025 (September 30, 2025)	**2024 (September 30, 2024)**	**Percent Growth/(Decline)**
REVENUE	16,969,238,234	15,336,920,100	10.64%

VOLUME GROWTH			
Principal Product – Liquefied Petroleum Gas			
	2025 (September 30, 2025)	**2024 (September 30, 2024)**	**Percent Growth/(Decline)**
LPG (in MT)	210,155	204,525	2.75%

The measurements of profitability are shown below.

	2025 (September 30, 2025)	**2024 (September 30, 2024)**
Return on Assets (%)	12.26%	11.12%
Return on Equity (%)	17.33%	15.82%
Net profit margin (%)	20.80%	18.29%

The liquidity measurements are shown below:

LIQUIDITY		
Pryce Corporation & Subsidiaries		
	2025 (September 30, 2025)	**2024 (September 30, 2024)**
Current ratio	2.19	1.98
Debt to equity ratio	0.41	0.39

PART II – OTHER INFORMATION

The reports filed with the SEC under SEC 17-C during the third quarter of 2025 pertain to the following: a) Press Release on the Financial Performance of the Company for 1H-2025.

SIGNATURES

Pursuant to the requirements of the Revised Securities Act, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

PRYCE CORPORATION

By:

JOHN VHERLIN C. MAGDAY	**SALVADOR P. ESCAÑO**
Treasurer	Chairman & CEO

PRYCE CORPORATION and

Subsidiaries

Consolidated Financial Statements
September 30, 2025 and December 31, 2024
With
Income Statements July 1 to September 30, 2025 and 2024

PRYCE CORPORATION and SUBSIDIARIES
Consolidated Statements of Financial Position
As at September 30, 2025 (Unaudited) and December 31, 2024 (Audited)

	2025	Audited 2024
ASSETS		
Current assets		
Cash and cash equivalents - note 4	**4,109,642,477**	4,747,746,292
Financial assets at fair value through profit or loss (FVPL) - note 5	**5,231,196,803**	1,960,148,002
Trade and other receivables (net) - note 6	**560,015,369**	794,920,249
Inventories - note 7	**2,089,411,604**	2,331,664,433
Real estate projects - note 8	**1,123,566,663**	1,119,337,150
Property dividends receivable - note 5	**212,933,202**	212,933,202
Other current assets - note 9	**186,667,406**	181,463,281
	13,513,433,524	11,348,212,609
Noncurrent assets		
Property, plant and equipment (net) - notes 10 and 11	**15,821,115,466**	14,684,450,243
Right-of-use assets (net) - note 32	**93,105,236**	97,982,235
Investment properties - note 12	**489,136,616**	489,136,616
Deferred tax assets	**132,135,282**	132,135,282
Goodwill - note 13	**70,668,305**	70,668,305
Other noncurrent assets - note 14	**339,198,154**	288,631,083
	16,945,359,059	15,763,003,764
TOTAL ASSETS	**30,458,792,583**	27,111,216,373
LIABILITIES AND EQUITY		
Current liabilities		
Trade and other payables - note 15	**2,277,265,174**	1,558,755,567
Income tax payable	**241,317,785**	339,919,394
Customers' deposits - note 16	**447,337,917**	374,537,532
Lease liabilities (current portion) - note 32	**31,490,863**	39,871,671
Borrowings (short-term and current portion of long-term) - note 17	**3,125,584,358**	3,173,428,780
Dividends payable - note 21	**47,406,933**	425,541,377
	6,170,403,029	5,912,054,321
Noncurrent liabilities		
Retirement benefits obligation - note 29	**59,514,954**	48,220,353
Borrowings (net of current portion) - note 18	**1,387,500,000**	762,500,000
Lease liabilities (net of current portion) - note 32	**69,924,441**	69,924,441
Deferred tax liabilities	**1,158,600,852**	1,198,089,867
	2,675,540,247	2,078,734,661
TOTAL LIABILITIES	**8,845,943,277**	7,990,788,982
Equity		
Equity attributable to equity holders of the Parent Company		
Capital stock - note 19	**2,024,500,000**	2,024,500,000
Additional paid-in capital	**369,834,820**	369,834,820
Retained earnings - note 21	**15,229,184,984**	12,791,652,058
Other comprehensive income (net of tax) - note 28	**3,491,376,117**	3,605,198,752
Treasury stock (at cost) - note 20	**(715,485,985)**	(715,485,985)
	20,399,409,935	18,075,699,645
Non-controlling interest	**1,213,439,371**	1,044,727,746
TOTAL EQUITY	**21,612,849,306**	19,120,427,391
TOTAL LIABILITIES AND EQUITY	**30,458,792,583**	27,111,216,373

(The accompanying notes are an integral part of these consolidated financial statements)

PRYCE CORPORATION AND SUBSIDIARIES
Consolidated Statements of Comprehensive Income
For the Period Ended September 30, 2025 and 2024

	2025	2024
REVENUES		
Liquefied petroleum gases - note 23	**14,608,547,743**	14,072,813,611
Industrial gases - note 23	**878,701,217**	665,506,900
Real estate and memorial park operations - note 23	**279,405,859**	233,555,705
Pharmaceutical products - note 23	**45,252,095**	36,481,344
Dividend and other income - note 27	**310,051,861**	98,755,830
Fair value gain (loss) on financial assets at FVPL	**847,279,459**	229,806,710
	16,969,238,234	15,336,920,100
COSTS AND EXPENSES		
Liquefied petroleum gases - note 24	**10,602,202,867**	10,120,322,554
Industrial gases - note 24	**609,783,718**	387,252,110
Real estate and memorial park operations - note 24	**76,397,945**	63,235,248
Pharmaceutical products - note 24	**31,573,745**	24,424,874
Operating expenses - note 25	**1,949,085,339**	1,768,877,047
Finance costs - note 26	**170,764,224**	168,007,263
Income tax expense	**539,073,213**	591,933,254
	13,978,881,052	13,124,052,350
NET INCOME	**2,990,357,182**	2,212,867,750
NET INCOME ATTRIBUTABLE TO:		
Equity holders of the Parent Company	**2,773,214,110**	2,039,191,610
Non-controlling interests	**217,143,072**	173,676,140
	2,990,357,182	2,212,867,750
EARNINGS PER SHARE - note 30	**1.4747**	**1.0830**

(The accompanying notes are an integral part of these consolidated financial statements)

PRYCE CORPORATION AND SUBSIDIARIES
Consolidated Statements of Comprehensive Income

	Period July 1 to September 30	
	2025	2024
REVENUES		
Liquefied petroleum gases	**4,816,142,353**	5,112,648,036
Industrial gases	**331,744,012**	239,590,944
Real estate and memorial park operations	**85,049,974**	96,906,427
Pharmaceutical products	**14,714,620**	13,498,188
Dividend and other income	**137,574,841**	27,488,670
Fair value gain (loss) on financial assets at FVPL	**270,595,899**	155,609,851
	5,655,821,700	5,645,742,116
COSTS AND EXPENSES		
Liquefied petroleum gases	**3,585,432,430**	3,846,817,145
Industrial gases	**213,778,399**	151,713,026
Real estate and memorial park operations	**27,431,463**	26,819,338
Pharmaceutical products	**9,564,503**	8,773,822
Operating expenses	**519,060,745**	448,687,507
Finance costs	**52,045,457**	60,547,215
Income tax expense	**187,701,537**	210,021,061
	4,595,014,535	4,753,379,115
NET INCOME	**1,060,807,165**	892,363,001
NET INCOME ATTRIBUTABLE TO:		
Equity holders of the Parent Company	**980,784,215**	831,727,732
Non-controlling interests	**80,022,950**	60,635,269
	1,060,807,165	892,363,001
EARNINGS PER SHARE	**0.5215**	**0.4423**

(The accompanying notes are an integral part of these consolidated financial statements)

PRYCE CORPORATION AND SUBSIDIARIES

Consolidated Statements of Changes in Equity

For the Period Ended September 30, 2025 and 2024 and December 31, 2024

	September 30 2025	September 30 2024	December 31 2024 Audited
CAPITAL STOCK	**2,024,500,000**	2,024,500,000	2,024,500,000
ADDITIONAL PAID-IN CAPITAL	**369,834,820**	369,834,820	369,834,820
OTHER COMPREHENSIVE INCOME (net of tax)	**3,491,376,117**	3,677,900,496	3,605,198,752
RETAINED EARNINGS			
At beginning of period	**12,791,652,058**	10,459,346,441	10,459,346,441
Net income for the period	**2,773,214,110**	2,039,191,610	2,837,545,925
Transfer of revaluation reserve deducted from operations through additional depreciation charges	**153,311,649**	151,798,062	247,013,280
Declaration of cash dividends	**(488,992,834)**	(376,126,794)	(752,253,588)
At end of period	**15,229,184,984**	12,274,209,320	12,791,652,058
TREASURY STOCK (at cost)	**(715,485,985)**	(715,485,985)	(715,485,985)
	20,399,409,935	17,630,958,650	18,075,699,645
NON-CONTROLLING INTEREST			
At beginning of period	**1,044,727,746**	885,897,880	885,897,880
Net income for the period	**217,143,072**	173,676,139	255,692,757
Declaration of cash dividends	**(48,431,446)**	(96,862,892)	(96,862,891)
At end of period	**1,213,439,371**	962,711,127	1,044,727,746
TOTAL EQUITY	**21,612,849,306**	18,593,669,778	19,120,427,391

PRYCE CORPORATION AND SUBSIDIARIES
Consolidated Statements of Cash Flows
For the Period Ended September 30, 2025 and 2024 and December 31, 2024

	September 30 2025	September 30 2024	December 31 2024 Audited
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before tax	**3,529,430,395**	2,804,801,004	3,913,607,821
Adjustments for :			
Depreciation - notes 10, 11 and 32	**742,726,441**	677,832,602	916,983,340
Retirement benefits	**55,794,601**	53,562,960	78,188,247
Finance costs - note 26	**170,764,224**	168,007,263	222,386,241
Fair value loss (gain) on financial assets at FVPL - note 5	**(847,279,459)**	(229,806,710)	(157,783,516)
Loss (gain) on sale of financial assets at FVPL - note 27	**(38,271,212)**	(3,205,500)	(19,785,485)
Dividend income - note 27	**(215,791,149)**	(27,537,727)	(50,375,178)
Interest income - note 27	**(49,247,733)**	(42,937,485)	(91,463,829)
Net unrealized foreign currency exchange loss (gain)	**-**	-	(23,906,848)
Gain on sale of property, plant and equipment	**(6,715,557)**	(4,755,227)	(12,506,909)
Gain on lease termination	**-**	-	(23,269,195)
Operating income before working capital changes	**3,341,410,551**	3,395,961,180	4,752,074,689
Decrease (increase) in assets:			
Trade and other receivables	**234,904,880**	(238,473,011)	(490,760,339)
Inventories	**242,252,829**	(41,164,128)	(22,696,522)
Other current assets	**(5,204,125)**	246,219,583	112,694,778
Real estate projects	**(4,229,513)**	(7,234,444)	2,835,924
Increase (decrease) in liabilities:			
Trade and other payables	**718,509,603**	205,372,837	(46,822,541)
Customers' deposits	**72,800,385**	137,577,479	197,094,079
Cash generated from operations	**4,600,444,610**	3,698,259,497	4,504,420,068
Additions to financial assets at FVPL - note 5	**(3,449,806,232)**	(573,800,290)	(875,561,904)
Proceeds from sale of financial assets at FVPL	**1,064,308,101**	47,165,890	191,876,521
Dividends received - note 27	**215,791,149**	27,537,727	50,375,178
Interest received	**49,247,733**	42,937,485	94,640,788
Income taxes paid	**(637,674,822)**	(543,302,807)	(748,152,598)
Contributions to retirement fund	**(44,500,000)**	(25,099,999)	(54,440,120)
Net cash provided by operating activities	**1,797,810,539**	2,673,697,503	3,163,157,933
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment - notes 10 and 11	**(1,889,250,496)**	(1,410,868,987)	(1,552,293,390)
Additions to investment properties - note 12	**-**	-	(99,808,000)
Proceeds from sale of property, plant and equipment	**21,451,388**	45,027,771	42,877,559
Receipts from (payments of) advances to contractors and suppliers	**233,872,932**	(14,765,320)	(171,911,721)
Receipts from (payments of) refundable deposits	**(669,778)**	(6,779,755)	(14,870,239)
Payments of advances for land acquisition	**(283,770,225)**	(82,420,486)	-
Net cash used in investing activities	**(1,918,366,179)**	(1,469,806,777)	(1,796,005,791)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from borrowings	**12,705,054,415**	9,586,746,094	13,829,177,070
Payments of finance costs	**(169,447,355)**	(166,538,841)	(208,800,371)
Payments of borrowings	**(12,127,898,836)**	(10,014,795,315)	(13,698,103,259)
Cash dividends declared and distributed	**(915,558,723)**	(784,270,445)	(784,270,445)
Acquisitions of treasury stocks	**-**	(40,554,889)	(40,554,889)
Payments of lease liabilities	**(9,697,676)**	(12,145,719)	(59,824,873)
Net cash used in financing activities	**(517,548,176)**	(1,431,559,114)	(962,376,767)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	**-**	-	(1,519,744)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	**(638,103,816)**	(227,668,389)	403,255,631
CASH AND CASH EQUIVALENTS - note 4			
Balance at beginning of period	**4,747,746,292**	4,344,490,661	4,344,490,661
Balance at end of period	**4,109,642,477**	4,116,822,272	4,747,746,292

(The accompanying notes are an integral part of these consolidated financial statements.)

(Expressed in Philippine Peso)

1. CORPORATE INFORMATION

Pryce Corporation (the "Parent Company") and its Subsidiaries (collectively referred to as the "Group") were incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on various dates as follows:

Name of company	Date of incorporation
Pryce Corporation (Parent Company)	September 7, 1989
Pryce Gases, Inc. (PGI)	October 8, 1987
Oro Oxygen Corporation (OOC)	April 4, 2006
San Fabian Oxygen Corporation	March 8, 2022
Pryce Pharmaceuticals, Inc. (PPhI)	March 10, 2000

The Parent Company is primarily engaged in acquiring, purchasing, leasing, holding, selling or otherwise dealing in land and or real estate or any interest or right therein as well as real or personal property of every kind and description including but not limited to shares of stock in industrial, commercial, manufacturing and any other similar corporations.

The Parent Company is a publicly-listed company which is 50.24% owned by Guild Securities, Inc., and 49.76% owned by PCD Nominee Corporation and other entities and individuals. The Parent Company's stock price amounted to ₱12.60 and ₱10.68 per share as at September 30, 2025 and December 31, 2024, respectively.

The Parent Company's registered office address is 17th Floor Pryce Center, 1179 Don Chino Roces Avenue cor. Bagtikan Street, Makati City.

The consolidated financial statements comprise the financial statements of the Parent Company and the following subsidiaries it controls:

PGI

PGI is primarily engaged in the manufacture, production, purchase, sale and trade of all kinds of liquids and gases and other chemicals, other allied or related products, lease, operate, manage and construct and/or install for or on account of others, plants, equipment and machineries for the manufacture or production or distribution of the desired liquids and gases and other allied products. As at September 30, 2025 and December 31, 2024, PGI has ten (10) liquefied petroleum gas (LPG) marine-fed terminals. As at September 30, 2025 and December 31, 2024, PGI has thirty (30) LPG refilling plants of varying storage capacities.

Certain operations of PGI is registered with the Board of Investments (BOI) and entitled to Income Tax Holiday (ITH) provided under Republic Act No. 8479, otherwise known as the Downstream Oil Deregulation Act of 1998 (see Note 31).

PGI's registered office address is 17th Floor Pryce Center, 1179 Don Chino Roces Avenue cor. Bagtikan Street, Makati City.

On February 19, 2018, the Parent Company acquired 8,500,000 shares of PGI from Marubeni Corporation for ₱15.98 million resulting to an increase in percentage (%) of ownership from 91.04% to 91.35%.

OOC

OOC is primarily engaged in the purchase, importation, sale and distribution and manufacture and/or production of all kinds of gases including LPG, industrial gases such as, oxygen, acetylene, hydrogen, nitrogen, argon, carbon dioxide, nitrous oxide, compressed air and helium and other allied or related products, including its containers, equipment and other receptacles. As at September 30, 2025 and December 31, 2024, OOC has forty-one (41) and forty (40) LPG refilling plants, respectively, of varying storage capacities.

OOC's registered office address is 1st Lower Level Pryce Plaza Hotel, Carmen Hill, Cagayan de Oro City.

On June 28, 2021, the BOD approved the conversion of advances amounting to ₱1.5 billion to equity through issuance of additional 1,499,999,800 shares of OOC. The conversion resulted in an increase of ownership by PGI to OOC from 99.62% in 2020 to 99.90% in 2021, and increase in indirect equity of the Parent Company to OOC from 91% to 91.26%.

PPhI

PPhI is primarily engaged in the trading of pharmaceutical products on wholesale and retail basis.

PPhI is primarily engaged in the trading of pharmaceutical products on wholesale and retail basis.
PPhI's registered office address is LGF Skyland Plaza, corner Gil Puyat Avenue and Tindalo Street, Makati City.

SFOC

SFOC is primarily engaged in the trade, purchase, importation, swale, distribution, manufacture and production of all kinds of gases including industrial gases, such as oxygen, acetylene, hydrogen, nitrogen, argon, carbon dioxide, nitrous oxide, compressed air and helium and other allied or related products, including its containers, equipment, and other receptacles.

SFOC's registered business address and principal office is at 17th Floor, Pryce Center, 1179 Chino Roces corner Bagtikan Street, San Antonio Village, Makati City, Philippines.

2. MATERIAL ACCOUNTING POLICY INFORMATION

The significant accounting policies that have been used in the preparation of these consolidated financial statements are summarized in this note. The policies have been consistently applied to all the years presented, unless otherwise stated.

Statement of compliance

The consolidated financial statements of the Group have been prepared in conformity with Philippine Financial Reporting Standards (PFRS). The term PFRS in general includes all applicable PFRS, Philippine Accounting Standards (PAS) and Interpretations issued by the former Standing Interpretations Committee (SIC), the Philippine Interpretations Committee (PIC) and the International Financial Reporting Interpretations Committee (IFRIC), which have been approved by the Financial Reporting Standards Council (FRSC) and adopted by the SEC.

Basis of preparation

The consolidated financial statements have been prepared on a historical cost basis, except for certain property, plant and equipment, which have been measured using the revaluation model, and financial assets at fair value through profit or loss (FVPL), which have been measured at fair value. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique.

The consolidated financial statements are presented in Philippine peso (₱), the Group's functional and presentation currency. All amounts are rounded to the nearest peso except when otherwise indicated.

Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Parent Company and all subsidiaries it controls (see Note 1). Control is achieved when the Parent Company has power over the investee, is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to use its power to affect its returns. The Parent Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of these three elements of control.

When the Parent Company has less than a majority of the voting or similar rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. The Parent Company considers all relevant facts and circumstances in assessing whether or not it has power over an investee, including:

- the contractual agreement with the other vote holders of the investee;
- rights, arising from contractual agreements; and
- the Group's voting rights and potential voting rights.

Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date when the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributable to equity holders of the Parent of the Group and to non-controlling interests, even if this results in the non-controlling interests having a deficit balance. The financial statements of the subsidiaries are prepared for the same reporting year, using accounting policies that are consistent with those of the Parent Company. Intra-group balances, transactions, income and expenses, and profits and losses resulting from intra-group transactions are eliminated in full in the consolidation.

Non-controlling interest represents the portion of profits or losses and net assets of consolidated subsidiaries not held by the equity holders of the Parent Company, and is presented separately in the consolidated statements of comprehensive income, consolidated statements of changes in equity and within the equity section of the consolidated statements of financial position, separately from equity attributable to the equity holders of the Parent Company.

Changes in the ownership interests in subsidiaries that do not result in the loss of control are accounted for as equity transactions.

If the Group loses control over a subsidiary, it derecognizes the related assets (including goodwill), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognized in profit or loss.

The percentage (%) of ownership of the Parent Company as at September 30, 2025 and December 31, 2024 are as follows:

	Ownership and voting interest	
Name of subsidiary	**2025**	2024
PGI	**91.35%**	91.35%
OOC	**91.26%**	91.26%
SFOC	**91.35%**	91.35%
PPhI*	**88.66%**	88.66%

** Includes indirect equity ownership of 13.66% in 2025 and 2024.*

The summarized financial information in respect of the subsidiaries that have material non-controlling interest is set below:

The summarized statements of financial position as at September 30, 2025 and December 31, 2024 are as follows:

September 30, 2025

	PGI	OOC	SFOC	PPhI
Current assets	**₱9,005,805,209**	**₱1,204,507,739**	**₱211,051,795**	**₱31,419,118**
Noncurrent assets	**13,562,114,907**	**4,030,294,232**	**906,988,533**	**-**
Total assets	**22,567,920,116**	**5,234,801,971**	**1,118,040,328**	**31,419,118**
Current liabilities	**5,255,513,232**	**883,754,468**	**25,444,912**	**18,401,690**
Noncurrent liabilities	**2,193,367,743**	**65,438,244**	**70,892,834**	**-**
Total liabilities	**7,448,880,975**	**949,192,712**	**96,337,746**	**18,401,690**
Equity	**₱15,119,039,141**	**₱4,285,609,259**	**₱1,021,702,582**	**₱13,017,428**

December 31, 2024

	PGI	OOC	SFOC	PPhI
Current assets	₱6,581,675,077	₱1,342,705,356	₱94,354,048	₱30,090,964
Noncurrent assets	12,904,258,280	3,765,962,260	847,711,208	-
Total assets	19,485,933,357	5,108,667,616	942,065,256	30,090,964
Current liabilities	4,250,695,099	1,012,115,581	26,213,103	16,126,855
Noncurrent liabilities	1,603,067,867	65,438,244	139,210,617	-
Total liabilities	5,853,762,966	1,077,553,825	165,423,720	16,126,855
Equity	₱13,632,170,391	₱4,031,113,791	₱776,641,536	₱13,964,109

The summarized statements of comprehensive income for the periods ended September 30, 2025 and 2024 are as follows:

2025

	PGI	**OOC**	**SFOC**	**PPhI**
Revenues	**₱13,894,287,160**	**₱5,382,465,438**	**₱457,530,765**	**₱45,258,851**
Expenses	**(11,461,209,509)**	**(5,043,202,068)**	**(210,155,587)**	**(45,793,373)**
Income tax expense	**(423,755,852)**	**(84,767,902)**	**(2,314,132)**	**(412,159)**
Net income (loss)	**₱2,009,321,799**	**₱254,495,468**	**₱245,061,046**	**(₱946,681)**
Net income (loss) attributable to:				
Equity holders of the Parent Company	**₱1,835,515,463**	**₱232,249,128**	**₱223,863,266**	**(₱839,297)**
Non-controlling interests	**173,806,336**	**22,246,340**	**21,197,780**	**(107,384)**
Total	**₱2,009,321,799**	**₱254,495,468**	**₱245,061,046**	**(₱946,681)**

2024

	PGI	OOC	SFOC	PPhI
Revenues	₱13,378,338,975	₱5,232,815,684	₱84,726,215	₱36,481,391
Expenses	(11,671,073,480)	(4,397,360,919)	(49,689,518)	(37,031,507)
Income tax benefit (expense)	(366,690,000)	(208,830,303)	-	(241,129)
Net income (loss)	1,340,575,495	626,624,462	35,036,697	(791,245)
Net income (loss) attributable to:				
Equity holders of the Parent Company	1,224,615,715	571,849,025	32,006,023	(701,493)
Non-controlling interests	115,959,780	54,775,437	3,030,674	(89,752)
Total	₱1,340,575,495	₱626,624,462	₱35,036,697	(₱791,245)

Changes in accounting policies and disclosures

The accounting policies adopted are consistent with those of the previous financial years except for the following new and amended PFRSs that are mandatorily effective for annual periods beginning on or after January 1, 2024.

- ***Presentation of Financial Statements (Amendments to PAS 1).*** The amendments clarify that the classification of liabilities as either current or noncurrent depends on the rights in place at the end of the reporting period. This classification is not influenced by the entity's expectations or by events occurring after the reporting date (e.g., obtaining a waiver or a breach of covenant that becomes relevant only after the reporting period).

  Loan covenants do not impact whether a liability is classified as current or noncurrent at the reporting date if the entity is only required to meet those covenants after the reporting date.

Conversely, if a covenant must be complied with on or before the reporting date, it will affect the liability's classification, even if the actual compliance is tested afterward.

The amendments also introduce disclosure requirements when a liability is classified as noncurrent but is subject to covenants that the entity must meet within 12 months after the reporting date. These disclosures include:

(a) the carrying amount of the liability
(b) information about the covenants (including the nature of the covenants and when the entity is required to comply with them); and
(c) facts and circumstances, if any, that indicate that the entity may have difficulty complying with the covenants

The amendments are to be applied retrospectively in line with *PAS 8, Accounting Policies, Changes in Accounting Estimates and Errors*. Special transitional provisions apply to entities that had early adopted the 2020 amendments concerning the classification of liabilities.

The adoption of these amendments did not have a significant effect on the Group's financial statements.

- ***Lease Liability in a Sale and Leaseback (Amendments to PFRS 16).*** The amendments issued narrow-scope amendments to the guidance on sale and leaseback transactions under *PFRS 16, Leases*, clarifying the accounting treatment after the date of the transaction.

  The amendments state that, when measuring the lease liability following a sale and leaseback, the seller-lessee must determine 'lease payments' and 'revised lease payments' in a way that prevents recognition of any portion of the gain or loss related to the right-of-use asset retained. This is particularly relevant for transactions where the lease payments include variable amounts not based on an index or rate.

  The adoption of these amendments did not have a material impact on the Group's financial statements.

- ***Disclosures: Supplier Finance Arrangements (Amendments to PAS 7 and PFRS 7).*** The amendments require enhanced disclosures regarding supplier finance arrangements (SFAs). These changes were introduced in response to investor demands for greater transparency around how SFAs affect an entity's liabilities, cash flows, and exposure to liquidity risk.

  The new disclosure requirements aim to provide insights into:

  (a) the terms and conditions of SFAs
  (b) the carrying amount of financial liabilities that are part of SFAs, and the line items in which those liabilities are presented
  (c) the carrying amount of the financial liabilities in (b), for which the suppliers have already received payment from the finance providers
  (d) the range of payment due dates for both the financial liabilities that are part of SFAs, and comparable trade payables that are not part of such arrangements
  (e) non-cash changes in the carrying amounts of financial liabilities in (b); and
  (f) access to SFA facilities and concentration of liquidity risk with the finance providers

Entities are required to present aggregated information about SFAs but must disaggregate details for arrangements with differing terms. They should also explain wide ranges in payment due dates and describe the nature and impact of non-cash changes to ensure comparability across reporting periods.

Transitional relief has been provided, meaning that entities are not required to present comparative information or specified opening balances in the first year of application. Additionally, the new disclosures are only mandatory for annual periods in the initial year of implementation. As such, the earliest required reporting will be for annual financial statements for the year ending December 31, 2024, unless an entity reports on a shorter financial year.

The adoption of these amendments did not have a significant effect on the Group's financial statements.

New accounting standards, interpretations and amendments to existing standards effective subsequent to January 1, 2024

Standards issued but not yet effective up to the date of the Group's consolidated financial statements are listed below. This listing of standards and interpretations issued are those that the Group reasonably expects to have an impact on disclosures, financial position or performance when applied at a future date. The Group intends to adopt these standards when they become effective.

- ***Lack of Exchangeability (Amendments to PAS 21)***. The amendments introduce guidance for assessing whether a currency can be exchanged into another currency, and for determining the appropriate spot exchange rate when it cannot. Prior to these amendments, *PAS 21, The Effects of Changes in Foreign Exchange Rates*, provided guidance for situations where exchangeability was temporarily absent, but did not address cases where the lack of exchangeability is not temporary.

  The new requirements are effective for annual reporting periods beginning on or after January 1, 2025, with early adoption permitted.

- ***Classification and Measurement of Financial Instruments (Amendments to PFRS 9 and PFRS 7).*** The amendments address practical application issues and to introduce new requirements applicable to both financial institutions and corporate entities. These amendments:

  (a) clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system;
  (b) clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion;
  (c) add new disclosures for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and
  (d) update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI)

While the clarification under (b) is particularly relevant to financial institutions, the changes outlined in (a), (c), and (d) apply broadly to all types of entities.

The amendments will become effective for annual reporting periods beginning on or after January 1, 2026, with early adoption permitted.

- ***Presentation and Disclosure in Financial Statements (PFRS 18).*** PFRS 18 is the newly issued standard on presentation and disclosure in financial statements, replacing *PAS 1, Presentation of Financial Statements*. It places particular emphasis on revisions to the statement of profit or loss.

  The main concepts introduced under PFRS 18 include:

  (a) the structure of the statement of profit or loss with defined subtotals
  (b) requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss
  (c) required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (that is, management-defined performance measures); and
  (d) enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes in general

  The Group is currently evaluating the potential impact of adopting this new standard.

The Group has not yet adopted these new, amended, and improved accounting standards and interpretations. It is currently evaluating the potential impact of these changes, which are effective after January 1, 2024, on its financial statements during the initial period of application. The additional disclosures required by these amendments will be included in the financial statements once the amendments are adopted.

Determination of fair value and fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability; or
- in the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the unobservable inputs.

All assets and liabilities for which fair value is measured disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring fair value measurement, such as financial assets at FVPL, and for non-recurring measurement, such as investment property. External valuers are involved for valuation of significant assets. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Fair value measurement disclosures of financial and nonfinancial assets are presented in Note 35 to the consolidated financial statements.

Financial instruments

Initial recognition, measurement and classification

The Group recognizes financial assets and financial liabilities in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument.

Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the market place are recognized on the settlement date.

With the exception of trade receivables that do not contain a significant financing component, financial assets and financial liabilities are recognized initially at fair value including transaction costs, except for those financial assets and liabilities at FVPL where the transaction costs are charged to expense in the period incurred. Trade receivables that do not contain a significant financing component are recognized initially at their transaction price.

The Group classifies its financial assets as subsequently measured at amortized cost and FVPL. The classification of financial assets depends on the financial asset’s contractual cash flow characteristics and the Group's business model for managing the financial assets. The Group's business model is determined at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group's business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The Group classifies its financial liabilities as subsequently measured at amortized cost using the effective interest (EIR) method.

Financial assets at amortized cost

Financial assets are measured at amortized when both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, financial assets at amortized cost are subsequently measured using the EIR method less allowance for impairment. Gains and losses are recognized in the profit or loss when the financial assets at amortized cost are derecognized, modified or impaired. These financial assets are included in current assets if maturity is within twelve (12) months from the end of reporting period. Otherwise, these are classified as noncurrent assets.

As at September 30, 2025 and December 31, 2024, included under financial assets at amortized cost are the Group's *Cash and cash equivalents*, *Trade and other receivables*, and *Refundable deposits* (see Notes 4, 6 and 14).

(a) *Cash* includes cash on hand and cash in banks. *Cash equivalents* include short-term investments with maturities of up to three months or less.

(b) *Trade and other receivables* represent the Group's right to an amount of consideration that is unconditional.

(c) *Refundable deposits* represent payments to lessor which is refundable at the end of lease term.

Financial assets at FVPL

Financial assets at FVPL include financial assets held for trading, financial assets designated upon initial recognition at FVPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term.

Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at FVPL, irrespective of the business model. Financial assets at FVPL are carried in the statements of financial position at fair value with net changes in fair value recognized in the profit or loss. Dividends on investments are recognized as *Other operating income* in the consolidated statements of comprehensive income when the right of payment has been established.

As at September 30, 2025 and December 31, 2024, included under financial assets at FVPL are the Group's listed equity investments held for trading which the Group has not irrevocably elected to classify at FVOCI (see Note 5).

Financial liabilities at amortized cost

Financial liabilities that are not contingent consideration of an acquirer in a business combination, held for trading, or designated as at FVPL, are measured subsequently at amortized cost using the EIR.

The EIR is a method of calculating the amortized cost of a financial liability and allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) through the expected life of the financial liability, or (where appropriate) a shorter period, to the amortized cost of a financial liability.

As at September 30, 2025 and December 31, 2024, included in financial liabilities at amortized cost are the Group's *Trade and other payables (excluding Deposit for park interment services, Due to park maintenance fund and Due to government agencies), Borrowings, Dividends payable, and Lease liabilities* (see Notes 15, 17, 18, 21 and 32).

(a) *Trade payables* are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. *Other payables* include non-trade payables and accrued expenses. Trade and other payables are classified as current liabilities if payment is due within one year or less or in the normal operating cycle of the business if longer while non-trade payables are classified as current liabilities if payment is due within 12 months or less. If not, these are presented as noncurrent liabilities.

(b) *Borrowings* pertain to financial liabilities where the substance of contractual agreements results in the Group having an obligation to deliver cash to settle obligations by the exchange of fixed amount of cash. The borrowings will be classified as current liabilities if it has a term of less than one year from the date the liability arises. Otherwise, it will be classified under noncurrent liabilities.

(c) *Dividends payable* represent dividends declared which remain unclaimed by stockholders as at the end of the reporting period.

Amortized cost and EIR method

The amortized cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortization using the EIR method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortized cost of a financial asset before adjusting for any loss allowance.

Interest income is recognized using the EIR for debt instruments measured subsequently at amortized cost. For financial assets other than purchased or originated credit-impaired financial assets, interest income is calculated by applying the EIR to the gross carrying amount of a financial asset, except for financial assets that have subsequently become credit-impaired. For financial assets that have subsequently become credit-impaired, interest income is recognized by applying the EIR to the amortized cost of the financial asset. If, in subsequent reporting periods, the credit risk on the credit-impaired financial instrument improves so that the financial asset is no longer credit-impaired, interest income is recognized by applying the EIR to the gross carrying amount of the financial asset.

For purchased or originated credit-impaired financial assets, the Group recognizes interest income by applying the credit-adjusted EIR to the amortized cost of the financial asset from initial recognition. The calculation does not revert to the gross basis even if the credit risk of the financial asset subsequently improves so that the financial asset is no longer credit-impaired.

For financial assets other than purchased or originated credit-impaired financial assets, the EIR is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the EIR, transaction costs and other premiums or discounts) excluding ECL, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition. For purchased or originated credit-impaired financial assets, a credit-adjusted EIR is calculated by discounting the estimated future cash flows, including ECL, to the amortized cost of the debt instrument on initial recognition.

Interest income is recognized under *Other operating income* in the consolidated statements of comprehensive income.

Offsetting of financial assets and liabilities

Financial assets and liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously.

Derecognition of financial assets and liabilities

Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired;
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to third party under a “pass-through” arrangement; or
- the Group has transferred its rights to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all risks and rewards of the asset, but has transferred control of the asset.

Where the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group’s continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

Financial liabilities

A financial liability is derecognized when the obligation under the liability was discharged, cancelled or has expired.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statements of comprehensive income.

Impairment of financial assets

The Group recognizes an allowance for ECL for all debt instruments that are measured at amortized cost. ECL are a probability-weighted estimate of credit losses over twelve (12) months or over the expected life of the financial asset depending on the degree of risk of default.

Credit losses are the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the original effective interest rate. The expected cash flows include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECL is a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Parent Company under the contract and the cash flows that the Parent Company expects to receive arising from the weighting of the multiple future economic scenarios, discounted at the asset’s effective interest rate. The Company measures ECL of a financial instrument in a way that reflects: a) an unbiased and probability weighted amount that is determined by evaluating a range of possible outcomes; b) the time value of money; and c) reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

The Group assesses at each end of the reporting period whether the credit risk on a financial asset has increased significantly since initial recognition. For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is measured at an amount equal to the lifetime ECLs. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, a loss allowance is measured at an amount equal to 12-month ECLs. Lifetime ECL represents the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECL represents the portion of lifetime ECL that is expected to result from default events on a financial instrument that are possible within twelve (12) months after the reporting period.

The Group has applied the standard’s simplified approach on its trade and other receivables and has calculated ECL based on lifetime expected credit losses. The Group does not track changes in credit risk, but instead recognize loss allowance based on lifetime ECL at each reporting date. The loss allowance shall only be adjusted if there is a decline in the fair value of real property which may be repossessed in case of default and such decline will render the fair value of the real property lower than the outstanding balance of the financial assets. The ECLs on these financial assets are estimated using a provision matrix based on the Group’s historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment, including time value of money where appropriate.

When the credit risk on financial instruments for which lifetime ECL have been recognized subsequently improves, and the requirement for recognizing lifetime ECL is no longer met, the loss allowance is measured at an amount equal to 12-month ECL at the current reporting period, except for assets for which simplified approach was used.

The Group recognizes impairment loss (reversals) in profit or loss for all financial assets with a corresponding adjustment to their carrying amount through a loss allowance account.

Significant increase in credit risk

Significant increase in credit risk is only assessed for receivables other than those arising from trade.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument at the end of reporting period with the risk of a default occurring on the financial instrument at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward-looking information considered includes the future prospects of the industries in which the Group's debtors operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think-tanks and other similar organizations, as well as consideration of various external sources of actual and forecast economic information that relate to the Group's core operations.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly since initial recognition:

- an actual or expected significant deterioration in the financial instrument's external (if available) or internal credit rating;
- significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. the extent to which the fair value of a financial asset has been less than its amortized cost;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor's ability to meet its debt obligations;
- an actual or expected significant deterioration in the operating results of the debtor;
- significant increases in credit risk on other financial instruments of the same debtor; and for
- an actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor's ability to meet its debt obligations.

Despite the foregoing, the Group assumes that the credit risk on receivables other than those arising from trade has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the end of reporting period. A financial instrument is determined to have low credit risk if:

- the financial instrument has a low risk of default;
- the debtor has a strong capacity to meet its contractual cash flow obligations in the near term;

and
- adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfill its contractual cash flow obligations.

The Group considers a financial asset to have low credit risk when the asset has external credit rating of "investment grade" in accordance with the globally understood definition or if an external rating is not available, the asset has an internal rating of "performing". Performing means that the counterparty has a strong financial position and there is no past due amounts.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

Definition of default

The Group considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that financial assets that meet either of the following criteria are generally not recoverable:

- when there is a breach of financial covenants by the debtor; or
- information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full (without taking into account any collateral held by the Group).

Irrespective of the above analysis, the Group considers that default has occurred when a financial asset is more than thirty (30) days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Credit-impaired financial assets

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event;
- the lenders of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concessions that the lenders would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganization;
- the disappearance of an active market for that financial asset because of financial difficulties; or
- decrease in the net realizable value of the real estate property which can be recovered from the debtor of sale of real estate if it defaults.

Write-off policy

The Group writes off a financial asset when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or in the case of trade receivables arising from sale of real estate, when the real estate property which can be recovered if the debtor defaults is no longer saleable.

Financial assets written off may still be subject to enforcement activities under the Group's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognized in profit or loss.

Inventories

Inventories are composed of four (4) product lines namely: (1) LPG, cylinders, stoves and accessories, (2) industrial gases (3) real estate projects and (4) pharmaceutical products.

LPG, cylinders, stoves and accessories, and industrial gases are classified as follows:

- *Finished goods* – composed of two (2) product lines which are (1) LPG, cylinders, stoves and accessories, and (2) industrial gases.

  LPG, cylinders, stoves and accessories includes LPG bulk, content, and LPG already filled in the cylinders. LPG accessories pertain to burners and regulators. On the other hand, industrial gases pertain to oxygen, acetylene and other related gases which are produced and sold in the market.

- *Raw materials* – pertain to calcium carbide and liquid oxygen used in the production of acetylene under industrial gases line.

- *Materials and supplies* – include cylinder maintenance, electric and oxygen supplies used for production.

Real estate projects include memorial park lots, subdivision lots, columbarium units, office units and land held for future development.

Pharmaceutical products represent medicines and other related products held for retail.

These are initially measured at cost and subsequently measured at the lower of cost and net realizable value (NRV).

Cost consists of purchase price, conversion costs and other costs incurred in bringing the inventories to its present location and condition. Cost of LPG, cylinders, stoves and accessories, industrial gases, and pharmaceutical products includes excise tax, overhead, freight and handling cost, refilling cost and exclude borrowing costs. On the other hand, cost of real estate projects includes expenditures for the development and improvement of subdivision lots and memorial lots, and construction of the office units.

The cost of LPG, cylinders, stoves and accessories, and industrial gases is determined using moving average method. Cost of real estate projects is determined using specific identification and cost allocation for non-specific cost. And, cost of pharmaceutical products is determined primarily on the basis of first-in, first-out (FIFO) method.

NRV for real estate projects is the estimated selling price less cost to complete and sell. On the other hand, NRV for finished goods and pharmaceutical products is the estimated selling price in the ordinary course of business less the estimated cost of marketing and distribution. NRV for raw materials and materials and supplies is the current replacement cost. In case of supplies, NRV is the estimated realizable value of the supplies when disposed of at their condition at the end of reporting period.

When the NRV of the inventories is lower than the cost, the Group provides for an allowance for the decline in the value of the inventory and recognizes the write-down as an expense in profit or loss. The amount of any reversal of any write-down of inventories, arising from an increase in NRV, is recognized as a reduction in the amount of inventories recognized as an expense in the period in which the reversal occurs. Any increase in NRV in excess of the expense previously recognized is not recognized.

When inventories are sold, the carrying amount of those inventories is recognized as an expense in the period in which the related revenue is recognized.

Other current assets

Other current assets is mainly composed of prepaid taxes and licenses, insurance premiums, rentals, maintenance, input value-added tax (VAT), creditable withholding tax, and advances to suppliers and other prepaid items.

Prepayments are expenses paid in cash and recorded as asset before they are used or consumed, as the service or benefit will be received in the future. Prepayments expired are recognized as expense either with the passage of time or through use or consumption.

Prepaid rent, insurance, maintenance and other prepaid items are apportioned over the period covered by the payment and charged to the appropriate accounts in the consolidated statements of comprehensive income when incurred.

Input VAT is the indirect tax paid by the Group on the local purchase of goods or services from a VAT-registered person. Input VAT is deducted against output VAT in arriving at the VAT due and payable.

Creditable withholding tax represents taxes withheld on income payments and is creditable against income tax due.

Advances to suppliers represent payments made for goods acquired but not yet received as at the end of the reporting period.

Prepayments which are expected to be realized for not more than twelve (12) months after the end of the reporting period are classified as current assets; otherwise, these are classified as other noncurrent assets.

The Group, on a continuing basis, makes a review of the status of the claims designed to identify those that may require provision for impairment losses.

Property, plant and equipment

Property, plant and equipment are initially recognized at cost. The initial cost of property, plant and equipment comprises its purchase price, including import duties, taxes and any directly attributable costs of bringing the asset to its working condition and location of its intended use, and the initial estimate of the future costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which an entity incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period. Expenditures incurred after the property, plant and equipment have been put into operation, such as repairs and maintenance are normally charged against operations in the period in which the costs are incurred. Expenditures for additions, major improvements and renewals are capitalized.

Subsequent to initial recognition, these are measured using revaluation and cost models.

(a) Revaluation model

The Group's land and land improvements, buildings and structures, LPG and oxygen plant, machinery and equipment, oxygen and acetylene cylinders, and office equipment are subsequently measured using revaluation model. These are measured at revalued amount, being the fair value at the date of revaluation as determined by an independent appraiser, less subsequent depreciation and impairment, provided that the fair value can be measured reliably.

Revaluation is carried out regularly, so that the carrying amounts do not differ materially from its fair value as at the reporting date. If a revaluation results in an increase in value, it is credited to other comprehensive income and accumulated in equity under *Revaluation reserves on property, plant and equipment* unless it represents the reversal of a revaluation decrease previously recognized as an expense, in which case it is recognized in profit or loss. A decrease arising as a result of a revaluation is recognized as an expense to the extent that it exceeds any amount previously credited to the revaluation reserve.

Depreciation of property, plant and equipment at revalued amount commences once the property, plant and equipment are available for use and computed using the straight-line basis over the estimated useful lives of property, plant and equipment as follows:

	In Years
Land and land improvements	40
Buildings and structures	20 to 40
LPG and oxygen plant, machinery and equipment	10 to 20
Oxygen and acetylene cylinders	15
Office equipment	9

The useful lives and depreciation method are reviewed annually to ensure that the period and method of depreciation are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

When these are disposed of, any revaluation reserve is transferred directly to retained earnings. The transfer to retained earnings should not be made through profit or loss.

(b) Cost model

The Group's LPG cylinders, leasehold improvements, transportation equipment, and furniture, fixtures and equipment are subsequently measured using cost model. These are stated at cost less accumulated depreciation and any impairment in value.

Depreciation of property, plant and equipment at cost commences once the property, plant and equipment are available for use and computed using the straight-line basis over the estimated useful lives of property, plant and equipment as follows:

	In Years
LPG cylinders	15
Leasehold improvements	5 to 15
Transportation equipment	5 to 6
Furniture, fixtures and equipment	5

Construction-in-progress (CIP) is measured at cost. This includes cost of construction, borrowing cost and any other direct cost. This is not depreciated. Upon completion, these are reclassified to the specific property, plant and equipment accounts.

Leasehold improvements are depreciated over its useful life, which is shorter than the lease term.

The useful lives and depreciation method are reviewed annually to ensure that the period and method of depreciation are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

These are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable.

When these are retired or otherwise disposed of, the cost of the related accumulated depreciation and accumulated provision for impairment losses, if any, are removed from the accounts and any resulting gain or loss is credited to or charged against current operations.

Fully depreciated property, plant and equipment are retained in the accounts until they are no longer in use and no further depreciation is charged against current operations.

Investment properties

Investment properties, which are properties held to earn rentals and/or for capital appreciation, is recognized initially at cost, including transaction costs. Cost includes purchase price and any other cost directly attributable to bringing the assets to its working condition and location for its intended use. Subsequent to initial recognition, investment properties are measured at cost less impairment loss, if any. Subsequent expenditures relating to an item of investment properties that have already been recognized are added to the carrying amount of the asset when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing asset, will flow to the Group. All other subsequent expenditures are recognized as expenses in the period in which those are incurred.

These are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. If any such indication exists and where the carrying amount of an asset exceeds its recoverable amount, the asset or cash-generating unit (CGU) is written down to its recoverable amount. The estimated recoverable amount is the higher of an asset's fair value less cost of disposal and value in use. The fair value less cost of disposal is the amount obtainable from the sale of an asset in an arm's length transaction less the costs of disposal while value in use is the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash generating unit to which the asset belongs. Impairment losses are recognized in the consolidated statements of comprehensive income.

Recovery of impairment losses recognized in prior years is recorded when there is an indication that the impairment losses recognized for the asset no longer exist or have decreased. The recovery is recorded in the consolidated statements of comprehensive income. However, the increased carrying amount of an asset due to a recovery of an impairment loss is recognized to the extent it does not exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for that asset in prior years.

These are derecognized when either they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the consolidated statements of comprehensive income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property, plant and equipment up to the date of change in use.

As at September 30, 2025 and December 31, 2024, included in investment properties are the Group's parcels of land, which are held for lease and memorial lawn lots, which are held for capital appreciation.

Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether it measures the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition costs incurred are expensed and included in administrative expenses.

When the Group acquires business, it assesses the financial assets and financial liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

Goodwill acquired in a business combination is initially recognized at cost being the excess of the cost of business acquisition over the fair values of the identifiable net assets and liabilities acquired. Subsequent to initial recognition, it is measured at cost less any accumulated impairment losses.

Should the fair values of the identifiable net assets and liabilities acquired exceeds the cost of business acquisition, the resulting gain is recognized as a bargain purchase in the consolidated statements of comprehensive income. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's CGUs that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of the CGU and part of the operation within that unit is disposed of the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and portion of the CGU retained.

When a subsidiary is sold, the difference between the selling price and the net assets plus the carrying amount of goodwill is recognized in the consolidated statements of comprehensive income.

Goodwill is reviewed for impairment annually or more frequently if events or changes in circumstances indicate that the carrying value may be impaired.

Impairment is determined for goodwill by assessing the recoverable amount of the CGU to which the goodwill relates. Where the recoverable amount of the CGU is less than the amount of the CGU to which the goodwill has been allocated (or to the aggregate carrying amount of a group of CGU to which the goodwill relates but cannot be allocated), an impairment loss is recognized immediately in the consolidated statements of comprehensive income. Impairment losses relating to goodwill cannot be reversed for subsequent increases in its recoverable amount in future periods. The Group performs its annual impairment test of goodwill at the end of each reporting period.

Impairment of non-financial assets except inventories and goodwill

At the end of each reporting period, the Group assesses whether there is any indication that any of its assets may have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss, if any. When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, assets are also allocated to individual CGU, or otherwise they are allocated to the smallest group of CGU for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset or cash-generating unit is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognized as an expense, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease. Impairment losses recognized in respect of CGU are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis.

Impairment losses recognized in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized. A reversal of an impairment loss is recognized as income, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Customers' deposits

Customers' deposits pertain to amount paid in advance by customers in exchange of memorial lots or residential units which have not yet met the Group's revenue recognition criteria.

Borrowing cost

General and specific borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalization.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

All other borrowing costs are recognized and charged to operations in the year in which they are incurred.

Related party relationships and transactions

A related party transaction is a transfer of resources, services, or obligations between related parties, regardless of whether a price is charged.

Parties are considered related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities.

In considering each possible related party relationship, attention is directed to the substance of the relationships, and not merely the legal form.

Equity

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group are recognized at the proceeds received, net of direct issue costs.

Capital stock represents the par value of the shares issued and outstanding as at reporting date.

Additional paid-in capital (APIC) includes any premiums received on the issuance of capital stock. Incremental costs directly attributable to the issue of new shares are deducted from APIC, net of tax. If APIC is not sufficient, the excess is charged against retained earnings. When the Group issues more than one (1) class of stock, a separate account is maintained for each class of stock and the number of shares issued.

Retained earnings represent accumulated earnings and losses of the Group, and any other adjustments to it as required by other standards, less dividends declared. Cash dividends on common shares are recognized as a liability and deducted from equity when approved by the Parent Company's BOD. Stock dividends are treated as transfers from retained earnings to capital stock. Dividends for the year that are approved after the end of the reporting period are dealt with as a non-adjusting event after the end of reporting period.

Treasury stocks represent own equity instruments reacquired, the amount of the consideration paid, including directly attributable cost, net of any tax effects, is recognized as a reduction from equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized as APIC. Voting rights related to treasury stocks are nullified for the Group and no dividends are allocated to them.

When the shares are retired, the capital stock account is reduced by its par value and the excess of cost over par value upon retirement is debited to APIC to the extent of the specific or average APIC when the shares were issued and to retained earnings for the remaining balance.

Other comprehensive income consists of items of income and expenses that are not recognized in profit or loss as required or permitted by other PFRSs. This pertains to remeasurement gain or loss on retirement benefits and revaluation reserves on property, plant and equipment, which is recognized in full in the period when it occurred, on certain items of property, plant and equipment accounted using the revaluation model.

Earnings per share

Earnings per share is computed by dividing net income by the weighted average number of common shares issued, subscribed and outstanding during the period with retroactive adjustments for stock dividends declared.

Revenue recognition

Revenue is recognized when or as control over distinct goods or services are transferred to customer such as when the customer is able to direct the use of the transferred goods or services and obtains substantially all of the remaining benefits from the goods or services, given that a contract with enforceable rights and obligations exists and, among others, the collectability of consideration is probable taking into account the customer's creditworthiness.

Revenue recognized is the transaction price that reflects the consideration which the Group expects to be entitled in a contract with a customer and excludes amounts collected on behalf of third parties.

To determine whether to recognize revenue, the Group follows a five-step process:

(1) identifying the contract with a customer;
(2) identifying the performance obligation;
(3) determining the transaction price;

(4) allocating the transaction price to the performance obligation; and
(5) recognizing revenue when or as performance obligations are satisfied.

The Group recognizes revenues from the following sources:

(a) Sale of LPG, cylinders, stoves and accessories, and industrial gases

The Group sells LPG, cylinders, stove and accessories, and industrial gases to the wholesale market, and directly to customers through refilling and terminal plant, and retail outlets.

Revenue from sale to wholesale market is recognized when or as the Group transfers control of the assets at a point in time to the wholesale customers. Invoices for goods transferred are due upon receipt of goods at the wholesaler's specific location. Following delivery, the wholesaler has the primary responsibility on selling the goods and bears the risks of obsolescence and loss in relation to the goods. Trade receivable is recognized by the Group when the goods are delivered to the wholesaler as this represents the point in time at which the right to consideration becomes unconditional, as only the passage of time is required before payment is due.

Revenue from sale to individual customers is recognized when control of the goods has been transferred, which is at the point the customer purchases the goods at refilling, terminal plant and retail outlet. Payment of the transaction price is due immediately when the customer purchases the goods.

(b) Sale of real estate

Revenues from sale of real estate arise from sale of memorial lots, and sale of subdivision lots and office units.

Revenues from sale of memorial lots are recognized at a point in time when control of the asset is transferred to the customer, generally when lots and columbarium units are allowed to be used for burial and inurnment, respectively, which is upon 100% payment for purchase of lawn lots and columbarium units and upon 50% payment for purchase of family estate.

Revenues from sale of subdivision lots and office units are recognized at a point in time when control is transferred to the customer which normally happens upon turnover of subdivision lots and office units to the buyer.

Real estate sales are recognized only when certain collection threshold was met over which the Group determines that collection of total contract price is reasonably assured. The Group uses historical payment pattern of customers in establishing a percentage of collection threshold.

If the transaction does not qualify as contract revenue under PFRS 15, the deposit method is applied until all conditions for recording the sale are met. Pending the recognition of revenue on real estate sales, consideration received from customers are recognized as *Customers' deposits* in the consolidated statements of financial position. This is recognized at the amounts received from customers and will be subsequently applied against the receivables when the related real estate sale is recognized.

Subsequent cancellations of prior years' real estate sales are recognized in profit or loss in the current year as they occur. The original cost of memorial lots sold is reverted back to inventory while the outstanding receivables at the time of cancellation are reversed. The resulting difference is recognized as part of *Other income* in the consolidated statements of comprehensive income.

(c) Sale of pharmaceutical products

Revenues from sale of pharmaceutical products are recognized at a point in time when control of the asset is transferred to the customer which is upon sale of pharmaceutical products to customer.

(d) Revenue from rendering interment service

Revenue from rendering of interment service is recognized at the point of interment based on the actual services provided to the end of the reporting period.

(e) Interest income

Interest is recognized on a time proportion basis using the EIR method.

(f) Dividend income

Dividend income is recognized when the Group's right to receive payment is established. The right to receive payment is usually established when the dividend is declared by the BOD.

(g) Other income

Other income is recognized when earned.

Expense recognition

Cost and expenses are recognized in the consolidated statements of comprehensive income when decrease in the future economic benefit related to a decrease in an asset or an increase in liability has arisen that can be measured reliably. Cost of of LPG, cylinders, stoves and accessories, industrial gases and pharmaceutical products sold is recognized as expense when the related goods are sold.

Cost of real estate projects sold before completion of the development and construction is determined based on the actual development costs incurred to date plus estimated cost to complete the project as determined by the Group's technical staff and contractors. These estimates are reviewed periodically to take into consideration the changes in cost estimates.

Selling expenses are costs incurred to sell or distribute inventories. Administrative expenses constitute costs of administering the business which are expensed as incurred.

Cost to obtain a contract

The Group pays sales commission to its employees for each contract that they obtain for sale of memorial lots and subdivision lots. The Group has elected to apply the optional practical expedient for costs to obtain a contract which allows the Group to immediately expense sales commissions since the amortization period of the asset that the Group otherwise would have used is one (1) year or less. For contracts with payment terms of more than one (1) year, the mount of commission expensed out and paid to sales agent is amortized over the period of the contract.

Employee benefits

Short-term employee benefits

The Group recognizes a liability net of amounts already paid and an expense for services rendered by employees during the accounting period that are expected to be settled wholly before twelve (12) months after the end of the reporting period. A liability is also recognized for the amount expected to be paid under short-term cash bonus or profit sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

Retirement benefits obligation

The Group provides for estimated retirement benefits cost required to be paid under R.A. No. 7641 to qualified employees. The Group has a funded, noncontributory retirement plan. On the other hand, the Group provides retirement benefits to employees through a defined benefit plan. A defined benefits plan is a pension plan that determines the amount of pension benefit an employee would receive upon retirement, usually dependent on several factors such as age, salary and length of service.

The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan asset, if any.

The cost of providing benefits under the defined benefit plan is determined using the projected unit credit method. The defined benefit cost comprises of the service cost, net interest on the defined benefit liability or asset and the remeasurement of net defined benefit liability or asset.

Service cost, which includes current service cost and gains and losses on settlement, is recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. Past service costs are recognized immediately in profit or loss. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in the consolidated statements of comprehensive income.

Remeasurements comprising actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in the subsequent periods. All remeasurements are recognized as *Remeasurement gain (loss) on retirement benefits* under other comprehensive income, and are not reclassified to another equity account in subsequent periods.

Termination benefits

A termination benefit liability is recognized at the earlier of the following dates:

- when the Group can no longer withdraw the offer of those benefits, which occurs when employee accept offer of benefits on termination, and as a result of the Group's decision to terminate an employee's employment, or
- when the Group recognizes costs for restructuring which involves the payment of termination benefits.

Termination benefits are measured in accordance with the nature of employee benefit, whether short-term employee benefit, post-employment benefit or other long-term employee benefits.

Leases

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement and requires an assessment of whether the fulfillment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset. A reassessment is made after the inception of the lease only if one (1) of the following applies, (a) there is a change in contractual terms, other than a renewal or extension of the arrangement; (b) a renewal option is exercised or extension granted, unless the term of the renewal or extension was initially included in the lease term; (c) there is a change in the determination of whether fulfillment is dependent on a specific asset; or (d) there is a substantial change to the asset.

Where a reassessment is made, lease accounting shall commence or cease from the date when the change in circumstances gives rise to the reassessment for scenarios (a), (c) or (d), and at the date of renewal or extension period for scenario (b) above.

The Group leases commercial spaces and lots for its sales centers and refilling plants. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value items. For leases with a term of more than twelve (12) months, the Group recognizes a right-of-use asset representing its right to use the underlying leased asset and a lease liability representing its obligation to make lease payments, unless the underlying asset is of low value.

Right-of-use asset

At the commencement date of the lease (which is when the underlying asset is available for use), the Group recognizes the right-of-use assets. The right-of-use asset is initially recognized at cost which consists of the amount of the lease liability plus any initial direct costs incurred and payments made at or prior to commencement date less lease incentives received and estimated costs to be incurred by the lessee for restoration or dismantling of the underlying asset to be suitable to the condition required by the terms and conditions of the lease. Subsequent to commencement date, the right-of-use asset shall be measured at cost less accumulated amortization and any accumulated impairment losses and adjusted for any remeasurement of the lease liability.

The right-of-use asset is amortized using the straight-line method over the shorter of its estimated useful life and the lease term as follows:

	In Years
Land	5 to 25
Commercial space	3 to 5

Lease liabilities

At the commencement date of the lease, (which is when the underlying asset is available for use), the Group recognizes lease liabilities measured at the present value of the lease payments payable over the lease term, discounted at the rate implicit in the lease if that can be readily determined. If that rate cannot be readily determined, the Group shall use an incremental borrowing rate.

Variable lease payments that are not included in the measurement of the lease liability are recognized in profit or loss in the period in which the event or condition that triggers payment occurs, unless the costs are included in the carrying amount of another asset under another Standard.

Lease liabilities are subsequently measured to reflect changes in the lease term, exercising of a purchase option (using a revised discount rate), amounts expected to be paid under residual value guarantees (using unchanged discount rate), or future lease payments resulting from a change or a rate used to determine those payments (using an unchanged discount rate). Such remeasurements are treated as adjustments to the right-of-use asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of equipment and other rentals (i.e., those leases that have a lease term of twelve (12) months or less from the commencement date and do not contain a purchase option). Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight line basis over the lease term.

Leases with variable lease payments

The Group recognizes payments for short-term and long-term leases with variable lease payments depending on the future revenue as expenses when incurred over the lease term.

Income taxes

The tax expense for the period comprises current and deferred taxes. Tax is recognized in the consolidated statements of comprehensive income, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at end of the reporting period.

Deferred income tax is recognized, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated financial statements. Deferred income tax is determined using tax rates that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax is realized or the deferred income tax liability is settled.

Deferred income tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each reporting date, the Group reassesses the need to recognize previously unrecognized deferred tax asset.

Deferred income tax assets are recognized for all deductible temporary differences, carry-forward benefits of unused tax credits from excess of minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient future taxable profits will be available against which the deductible temporary differences, carry-forward benefits of unused tax credits from excess of MCIT over RCIT and unused NOLCO can be utilized. Deferred tax liabilities are recognized for all taxable temporary differences.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax asset against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

Foreign currency transactions

Functional and presentation currency

Items included in the consolidated financial statements of the Group are measured using the currency of the primary economic environment in which the Group operates (functional currency). The consolidated financial statements are presented in Philippine peso (₱) the Group's functional and presentation currency.

Transactions and balances

The accounting records of the Group are maintained in Philippine peso (₱). Foreign currency transactions during the period are translated into Philippine peso at exchange rates, which approximate those prevailing on transaction dates.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translations at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized under *Other income* in the consolidated statements of comprehensive income.

Non-monetary items that are measured at historical cost are translated at the exchange rate prevailing at transaction date. Foreign currency denominated non-monetary items measured at fair value is translated using the exchange rates at the date when the fair value is determined.

Provisions and contingencies

Provisions are recognized when the Group has a present obligation, legal or constructive, as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. When the Group expects a provision or loss to be reimbursed, the reimbursement is recognized as a separate asset only when the reimbursement is virtually certain and the amount can be estimated reliably. The expense relating to any provision is presented in the consolidated statements of comprehensive income, net of any reimbursement.

Contingent liabilities are not recognized in the consolidated financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed when an inflow of economic benefits is probable. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the consolidated financial statements. If it has become virtually certain that an inflow of economic benefits will arise, the asset and the related income are recognized in the consolidated financial statements.

Events after the reporting date

Post period-end events that provide additional information about the Group’s position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post period-end events that are not adjusting events are disclosed in the consolidated financial statements when material.

3. MATERIAL ACCOUNTING JUDGMENTS AND CRITICAL ACCOUNTING ESTIMATES AND ASSUMPTIONS

The preparation of the consolidated financial statements in compliance with PFRS requires management to make estimates and assumptions that affect the amounts reported in the consolidated financial statements. The estimates and assumptions used in the consolidated financial statements are based upon management’s evaluation of relevant facts and circumstances at the end of the reporting period. Actual results could differ materially from such estimates.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Significant accounting judgments in applying the Group's accounting policies

(a) Business model assessment

Classification and measurement of financial assets depends on the results of the business model and solely for payments of principal and interest test. The Group determines the business model at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment reflecting all relevant evidence including how the performance of the assets is evaluated and their performance measured, the risks that affect the performance of the assets and how these are managed and how the managers of the assets are compensated. The Group monitors financial assets measured at amortized cost that are derecognized prior to their maturity to understand the reason for their disposal and whether the reasons are consistent with the objective of the business for which the asset was held. Monitoring is part of the Group's continuous assessment of whether the business model for which the remaining financial assets are held continues to be appropriate and if it is not appropriate whether there has been a change in business model and so a prospective change to the classification of those assets. No such changes were required during the periods presented.

(b) Significant increase in credit risks

ECL are measured as an allowance equal to 12-month ECL for stage 1 assets, or lifetime ECL for stage 2 or stage 3 assets. An asset moves to stage 2 when its credit risk has increased significantly since initial recognition. The standard does not define what constitutes a significant increase in credit risk. In assessing whether the credit risk of an asset has significantly increased, the Group takes into account qualitative and quantitative reasonable and supportable forward looking information.

The management assessed that there was no significant increase in credit risk on the Group's financial assets for the periods ended September 30, 2025 and December 31, 2024.

(c) Distinction between investment properties and owner-occupied properties

The Group determines whether a property qualifies as an investment property. In making its judgment, the Group considers whether the property generates cash flows largely independent of the other assets held by an entity. Owner-occupied properties generate cash flows that are attributable not only to property but also to the other assets used in the production or supply process. Some properties comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes.

If these portions cannot be sold separately, the property is accounted for as an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes. Judgment is applied in determining whether ancillary services are so significant that a property does not qualify as an investment property. The Group considers each property separately in making its judgment.

(d) Determining the timing of satisfaction of sale of memorial lots, subdivision lots and office units

The Group exercises critical judgment in determining whether each performance obligation to develop properties promised in its contracts with customers is satisfied over time or at a point in time. In making this judgment, the Group considers the following:

a) any asset created or enhanced as the Group performs;
b) the ability of the customer to control such asset as it is being created or enhanced;
c) the timing of receipt and consumption of benefits by the customer; and,
d) the Group's enforceable right for payment for performance completed to date.

The Group concluded that revenues from sales of memorial lots, subdivision lots and office units are recognized at a point in time when control of the asset is transferred to the customer. For sale of memorial lots and columbarium units, control is generally transferred when the memorial lots and columbarium units are allowed to be used for burial and inurnment, respectively, which is upon 100% payment of purchase of lawn lots and columbarium units and upon 50% payment of family estate. For sale of subdivision lots and office units, control is transferred upon turnover to the buyer.

(e) Lease commitments

The Group has entered into various lease agreements for the lease of its sales center offices and LPG tanks as a lessee. Critical judgment was exercised by management to distinguish each lease agreement as either an operating or finance lease by looking at the transfer or retention of significant risk and rewards of ownership of the properties covered by the agreements.

Failure to make the right judgment will result in either overstatement or understatement of assets and liabilities. In 2018, the Group determined that significant risk and rewards of ownership of the properties were retained by the lessor and accounts for its lease as operating lease.

Starting January 1, 2019, all the existing leases of the Group, except for the leases with lease term of less than twelve (12) months and small value leases, qualified as leases under PFRS 16 which requires recognition of right-of-use asset and lease liability.

The leases are renewable upon mutual agreement by both parties to be covered by a separate and new lease agreement. Accordingly, the renewal option was not considered in the lease term for purposes of the adoption of PFRS 16.

(f) Contingencies

The Group has possible claims from or obligation to other parties from past events and whose existence may only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within its control. Management has determined that the present obligations with respect to contingent liabilities and claims with respect to contingent assets do not meet the recognition criteria, and therefore has not recorded such any amounts.

Material accounting estimates and assumptions

(a) Impairment of trade and other receivables

The Group makes use of simplified approach in determining the ECL for trade and other receivables.

Simplified approach is used for trade receivables since these are generally short term in nature and are protected by credit enhancement, where real property may be repossessed in case of default of debtor in the case of sale of real estate. Credit risk generally arises when there is a decline in the fair value of the real property and such decline will make the fair value of the real property lower than the carrying amount of the receivables. Fair value of real properties is not expected to change abruptly. Hence, simplified approach is used for determining allowance for ECL for these receivables.

Simplified approach is also used for computing ECL based on lifetime ECL for receivables other than those arising from trade since these are generally short term in nature.

In assessing whether the credit risk of an asset has significantly increased, the Group takes into account qualitative and quantitative reasonable and supportable forward looking information. The Parent Company does not track changes in credit risk for receivables arising from sale of real estate.

The management believes that there are no indications that its trade and other receivables are impaired as at September 30, 2025 and December 31, 2024 as these receivables are highly performing based on the historical credit experience with the debtors, the future economic conditions, and laws governing real estate sales.

The carrying amount of the Group's trade and other receivables as at September 30, 2025 and December 31, 2024 amounted to ₱560.02 million and ₱794.92 million, respectively (see Note 6).

(b) Determining the NRV of inventories

In determining the NRV of inventories, the management takes into account the most reliable evidence available at the time the estimates are made. Prices are affected by both internal and external factors that may cause inventory obsolescence. These factors may cause significant adjustment to the Group's inventories within the next reporting period.

The carrying amount of the Group's inventories which are carried at cost as at September 30, 2025 and December 31, 2024 amounted to ₱2.09 billion and ₱2.33 billion, respectively (see Note 7).

The carrying amount of the Group's real estate projects which are also carried at cost as at September 30, 2025 and December 31, 2024 amounted to ₱1.12 billion and ₱1.12 billion, respectively (see Note 8).

(c) Estimating fair value of property, plant and equipment at revalued amounts

To determine the fair value of the land and land improvement, buildings and structures, LPG and oxygen plant, machinery and equipment, oxygen and acetylene cylinders and office equipment at revalued amounts, the Group engaged an independent appraiser duly accredited by the SEC to determine its fair value. The independent appraisers used the Market Data Approach in the valuation wherein the value is based on sales, listings and other market data of comparable properties registered within the vicinity of subject properties. The market value of the properties amounted to ₱10.42 billion based on the latest appraisal dated April 28, 2022. Appraisal increase in 2021 amounted to ₱3.50 billion. Net carrying amount of the property, plant and equipment at revalued amounts amounted to ₱12.26 billion and ₱12.16 billion as at September 30, 2025 and December 31, 2024, respectively (see Note 10).

(d) *Estimating the useful lives of property, plant and equipment and right-of-use assets except land*

The Group estimates the useful lives of its property, plant and equipment, and right-of-use assets, except land, based on the period over which the assets are expected to be available for use. The estimated useful lives are reviewed and updated, if expectations differ from previous estimates due to physical wear and tear. In addition, the estimates are based on a collective assessment of industry practice and experience with similar assets. It is possible, however, that future results of operations could be materially affected by changes in estimates brought about by changes in factors mentioned above.

The carrying amount of property, plant and equipment and right-of-use assets are disclosed in notes 10, 11 and 32.

(e) *Estimating incremental borrowing rate for lease under PFRS 16*

The Group cannot readily determine the interest rate implicit in the lease, hence it uses the incremental borrowing rate to measure lease liabilities. The incremental borrowing rate is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The incremental borrowing rate therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for subsidiaries that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the incremental borrowing rate using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates. The incremental borrowing rate used by the Group ranges from 3.25% to 7.49%.

(f) *Recognition and realizability of deferred tax assets*

Deferred tax assets are recognized for all unused tax losses and future tax credits. At end of the reporting period, the Group reviews its deferred tax assets and reduces the carrying amount to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based on industry trends and projected performance in assessing the sufficiency of taxable income.

As at September 30, 2025 and December 31, 2024, the Group recognized deferred tax assets amounting to ₱132.14 million.

(g) *Impairment of goodwill*

Determining whether goodwill is impaired requires estimation of the value of CGU to which goodwill has been allocated. The value in use calculation requires the directors to estimate the future cash flows expected to arise from the CGU and a suitable discount rate in order to calculate present value. Where the actual future cash flows are less than expected, a material impairment loss may arise.

Management assessed that goodwill amounting to ₱70.67 million is not impaired as at September 30, 2025 and December 31, 2024.

(h) Impairment of non-financial assets other than inventories

Management is required to perform test of impairment when impairment indicators are present. Property, plant and equipment and investment properties are periodically reviewed to determine any indications of impairment. Management is required to make estimates to determine future cash flows to be generated from the continued use and ultimate disposition of these assets in order to determine the value in use. Though the management believes that the estimates and assumptions used in the determination of recoverable amounts are reasonable and appropriate, significant changes in these assumptions may materially affect the assessment of the recoverable amounts and any resulting impairment loss could have a material adverse effect in the results of operations.

Management believes that there are no indications that its inventories, real estate projects, property, plant and equipment and investment properties are impaired.

(i) Retirement benefits obligation

The present value of the retirement benefits obligation depends on a number of factors that are determined on an actuarial basis using the number of assumptions. The assumptions used in determining the retirement benefit expense include the discount rate and salary increase rate. Any changes in these assumptions will impact the carrying amount of pension obligations.

The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the retirement benefits obligation. In determining the appropriate discount rate, the Group considers the interest rates of government bonds and has terms of maturity approximating the terms of the related retirements benefit obligation.

Other key assumptions for retirement benefits obligation are based in part on current market conditions.

The carrying amount of the Group's retirement benefits obligation amounted to ₱59.51 million and ₱48.22 million as at September 30, 2025 and December 31, 2024, respectively (see Note 29).

4. CASH AND CASH EQUIVALENTS

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Cash on hand	**₱8,439,472**	₱177,619,587
Cash in banks	**2,671,203,005**	2,895,126,705
Cash equivalents	**1,430,000,000**	1,675,000,000
	₱4,109,642,477	₱4,747,746,292

Cash in banks and cash equivalents earn interest at the respective bank deposit rates. Interest income earned is presented as *Interest income* under *Other operating income* in the consolidated statements of comprehensive income in the amount of ₱49.25 million and ₱42.94 million for the periods ended September 30, 2025 and 2024, respectively (see Note 27).

There are no legal restrictions on the Group's cash as at September 30, 2025 and December 31, 2024.

5. FINANCIAL ASSETS AT FVPL

The movements of the account as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Balance at beginning of period	**₱1,960,148,002**	₱1,098,893,618
Additions	**3,449,806,232**	875,561,904
Disposals	**(1,026,036,890)**	(172,091,036)
Fair value gain (loss) during the period	**847,279,459**	157,783,516
Balance at end of period	**₱5,231,196,803**	₱1,960,148,002

This consists of equity securities from various listed companies in the Philippines. The fair values of these securities have been determined directly by reference to published prices quoted in the active market at the end of the reporting period.

Proceeds from the sale of the Group's financial assets at FVPL for the periods ended September 30, 2025 and 2024 amounted to ₱1.06 billion and ₱47.17 million, which resulted to gain on sale of ₱38.27 million and ₱3.21 million, respectively, and is presented as *Gain (loss) on sale of financial assets at FVPL* under *Other operating income* in the consolidated statements of comprehensive income (see Note 27).

Cash dividend income earned from financial assets at FVPL is presented under *Other operating income* in the consolidated statements of comprehensive income amounting to ₱215.79 million and ₱27.54 million for the periods ended September 30, 2025 and 2024, respectively (see Note 27).

Property dividends receivable

In 2021, the Group recognized dividend income pertaining to property dividends from the Philippine National Bank (PNB) amounting to ₱212,933,202. On April 23, 2021, PNB declared the property dividend of up to 239,353,710 common shares of PNB Holdings Corporation (PHC) with a par value of ₱100 per share to all stockholders of record as at May 18, 2021. The property dividend shall be paid at a ratio of 0.156886919 shares of PHC for every one share of PNB.

On August 30, 2023, PNB disclosed to the PSE that it is yet to complete the legal and regulatory requirements along with the remaining necessary approvals and administrative processes prior to the announcement of the payment date for the property dividends.

In 2024, PNB continued to process the issuance of electronic Certificates Authorizing Registration (eCARs) required for the release of PHC shares. As at January 10, 2025, 1,215 eCARs had been issued, with 268 shareholders completing the necessary tax requirements to become eligible for share distribution.

PNB has committed to settle any fractional entitlements in cash and is coordinating with PHC on further share issuances and a potential public listing. As of reporting date, the Group has not yet received the PHC shares. These remain classified as *Property dividends receivable* in the statements of financial position.

6. TRADE AND OTHER RECEIVABLES (NET)

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Trade receivables	**₱379,644,848**	₱706,724,241
Advances to officers and employees	**57,340,537**	58,521,302
Receivables from memorial lot owners	**7,957,255**	7,957,255
Accrued interest receivable (note 4)	**-**	7,544,532
Others	**119,805,148**	18,905,338
Total	**564,747,788**	799,652,668
Allowance for doubtful accounts	**(4,732,419)**	(4,732,419)
Net carrying amount	**₱560,015,369**	₱794,920,249

Trade receivables arising from sale of LPG and industrial gases are usually due within thirty (30) to one hundred twenty (120) days and do not bear any interest. Trade receivables arising from sale of memorial lots, subdivision lots and office units are paid on a monthly basis with various terms ranging from one (1) to five (5) years.

Advances to officers and employees include advances for car plans to qualified employees, which bear interest at 24% per annum, and business advances for liquidation, which are non-interest bearing. These are collectible through salary deductions. Allowance for ECL amounting to ₱4,732,419 was recognized for this account.

Receivable from memorial lot owners are receivables pertaining to the maintenance adjustment billed by the Group for the expenses paid on behalf of the customers for the maintenance and upkeep of the sold memorial lots.

Accrued interest receivable pertain to interest earned on cash equivalents (see note 4).

Others mainly consist of advances to brokers, vehicle insurance claims and receivables from SSS.

7. INVENTORIES

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Finished goods		
LPG, cylinders, stoves and accessories	**₱1,833,216,017**	₱1,922,494,734
Industrial gases	**93,688,962**	91,572,162
Pharmaceutical products	**6,651,540**	14,712,193
	1,933,556,519	2,028,779,089
In-transit LPG	**-**	-
	1,933,556,519	2,028,779,089
Raw materials	**9,379,856**	9,624,048
Material and supplies	**146,475,229**	293,261,296
Total	**₱2,089,411,604**	₱2,331,664,433

Inventories are all measured at cost, which is lower than the NRV. In-transit LPG pertains to LPG inventories that are under the cost, insurance and freight (CIF) shipping term. The title and risk of loss shall pass to the Group on delivery of the goods to the carrier. As at June 30, 2025 and December 31, 2024, in-transit LPG inventories are on board the carrier heading towards the Philippines marine fed terminal for customs clearance.

The cost of inventories recognized as expense for the periods ended September 30, 2025 and 2024 and is presented under *Cost of sales and services* in the consolidated statements of comprehensive income are as follows (see note 24):

	2025	2024
LPG, cylinders, stoves and accessories	**₱10,602,202,867**	₱10,120,322,554
Industrial gases	**609,783,718**	387,252,110
Pharmaceutical products	**31,573,745**	24,424,874
	₱11,243,560,330	₱10,531,999,538

There are no inventories pledged as security for liabilities as at September 30, 2025 and December 31, 2024.

8. REAL ESTATE PROJECTS

Real estate projects as at September 30, 2025 and December 31, 2024 consist of:

	2025	2024
Land held for future development	**₱434,129,296**	₱426,807,690
Columbarium	**372,943,371**	363,759,804
Memorial park lots	**290,198,303**	300,426,744
Subdivision lots	**26,295,693**	28,342,912
	₱1,123,566,663	₱1,119,337,150

The real estate projects are all measured at cost which is lower than NRV.

The cost of real estate projects recognized under *Cost of sales and services* in the Group's consolidated statements of comprehensive income amounted to ₱75.53 million and ₱36.57 million for the periods ended September 30, 2025 and 2024, respectively (see Note 24).

As at September 30, 2025 and December 31, 2024, there are no real estate projects pledged as security for liabilities and no restriction on title had been imposed. No contractual commitments have been entered into by the Group for acquisition of any properties related to real estate projects.

9. OTHER CURRENT ASSETS

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Prepayments		
Taxes and licenses	**₱16,381,191**	₱23,144,767
Rentals	**118,460,747**	17,775,518
Insurance	**4,806,576**	3,280,298
Maintenance	**-**	2,202,319
Income tax	**-**	1,536,649
	139,648,514	47,939,551
Advances to suppliers	**1,657,100**	94,872,444
Input VAT	**16,215,304**	37,564,640
Others	**29,146,488**	1,086,646
Total	**₱186,667,406**	₱181,463,281

Prepaid taxes and licenses represent advance payment of business taxes for the succeeding year.

Prepaid rentals pertain to advance payment for short-term lease agreements (see note 32).

Prepaid insurance pertains to the portion of the insurance premium that has been paid in advance and has not been expired.

Prepaid maintenance pertains to maintenance costs paid in advance for the requalification procedures on LPG bulk tanks and other machinery.

Advances to suppliers are advance payments for purchases of goods and services.

Input VAT represents the taxes paid on purchases of goods and services which can be recovered as tax credit against future output VAT liability of the Group.

Others include advertising and terminal refilling and other plant repairs that are amortized within one year.

10. PROPERTY, PLANT AND EQUIPMENT AT REVALUED AMOUNTS (NET)

The reconciliations of the net carrying amounts, gross carrying amounts and accumulated depreciation of property, plant and equipment at revalued amounts as at September 30, 2025 and December 31, 2024 are shown below:

September 30, 2025

	Land and land improvements	Buildings and structures	LPG and oxygen plant, machinery and equipment	Oxygen and acetylene cylinders	Office equipment	**Total**
Net carrying amounts						
January 1, 2025	₱4,613,130,246	₱702,791,223	₱6,065,659,054	₱780,764,517	₱16,273	**₱12,162,361,313**
Additions	14,033,101	103,189,253	331,991,723	121,348,660	-	**570,562,737**
Depreciation	(690,429)	(50,761,619)	(316,987,382)	(109,971,300)	(16,273)	**(478,427,002)**
Disposals	-	-	-	(6,976,665)	-	**(6,976,665)**
Reclassification	-	(3,718,322)	22,993,209	(4,731,035)	-	**14,543,852**
September 30, 2025	₱4,626,472,918	₱751,500,535	₱6,103,656,605	₱780,434,177	₱ -	**₱12,262,064,235**
September 30, 2025						
Appraised value	₱4,653,781,908	₱2,285,666,507	₱9,701,899,029	₱2,122,447,472	₱73,278,234	**₱18,837,073,150**
Accumulated depreciation	(27,308,990)	(1,534,165,972)	(3,598,242,424)	(1,342,013,295)	(73,278,234)	**(6,575,008,915)**
Net carrying amounts	₱4,626,472,918	₱751,500,535	₱6,103,656,605	₱780,434,177	₱ -	**₱12,262,064,235**

December 31, 2024

	Land and land improvements	Buildings and structures	LPG and oxygen plant, machinery and equipment	Oxygen and acetylene cylinders	Office equipment	**Total**
Net carrying amounts						
January 1, 2024	₱4,596,003,965	₱734,436,678	₱5,230,570,753	₱811,136,572	₱352,641	**₱11,372,500,609**
Additions	18,600,182	3,924,120	152,404,065	88,559,264	-	**263,487,631**
Depreciation	(1,473,901)	(70,774,180)	(471,081,423)	(103,014,629)	(336,368)	**(646,680,501)**
Disposals	-	-	-	(15,916,690)	-	**(15,916,690)**
Reclassification	-	35,204,605	1,153,765,659	-	-	**1,188,970,264**
December 31, 2024	₱4,613,130,246	₱702,791,223	₱6,065,659,054	₱780,764,517	₱16,273	**₱12,162,361,313**
December 31, 2024						
Appraised value	₱4,639,748,807	₱1,763,797,573	₱9,987,195,424	₱1,997,659,134	₱73,278,234	**₱18,461,679,172**
Accumulated depreciation	(26,618,561)	(1,061,006,350)	(3,921,536,370)	(1,216,894,617)	(73,261,961)	**(6,299,317,859)**
Net carrying amounts	₱4,613,130,246	₱702,791,223	₱6,065,659,054	₱780,764,517	₱16,273	**₱12,162,361,313**

Depreciation charged to operations was allocated as follows:

	Sept. 30, 2025	Sept. 30, 2024
Cost of sales	**₱323,763,723**	₱231,723,309
Operating expenses	**154,663,279**	167,282,014
	₱478,427,002	₱399,005,323

The above depreciation includes depreciation on appraisal increase amounting to ₱153.31 million and ₱151.80 million for the periods ended September 30, 2025 and 2024, which also represents transfer of realized portion of revaluation reserve to retained earnings.

For the periods ended September 30, 2025 and 2024, certain property, plant and equipment at revalued amounts was disposed of for a total consideration of ₱6.98 million and ₱15.26 million resulting into a gain of nil and ₱66 thousand. The gain on disposal, if any, is presented as part of

Gain on sale of property, plant and equipment under *Other operating income* in the consolidated statements of comprehensive income (see Note 27).

The fair value of the property, plant and equipment were in reference to the appraisal report by an independent appraiser accredited by the SEC dated April 28, 2022. The value of the properties was determined using the Market Data Approach, which amounted to ₱3,502,303,743 in 2021. In this method of valuation, the value is based on sales, listings and other market data of comparable properties registered within the vicinity of subject properties.

As at September 30, 2025 and December 31, 2024, the *Revaluation reserves on property, plant and equipment* is ₱3.46 billion and ₱3.58 billion, respectively, which is presented under *Other comprehensive income* (see Note 28).

As at September 30, 2025 and December 31, 2024, certain property, plant and equipment at revalued amounts are pledged as security for the Group's long-term borrowings. This pertains to the Group's LPG Terminal Plant in Lugait, Misamis Oriental with total appraised value of ₱490,385,712 (see note 18).

No contractual commitments have been entered into by the Group for acquisition of any property, plant and equipment.

11. PROPERTY, PLANT AND EQUIPMENT AT COST (NET)

The reconciliations of the net carrying amounts, gross carrying amounts and accumulated depreciation of property, plant and equipment at cost as at September 30, 2025 and December 31, 2024 are shown below:

September 30, 2025

	LPG cylinders	Leasehold improvements	Transportation equipment	Furniture, fixtures and equipment	Construction-in-progress	**Total**
Net carrying amounts						
January 1, 2025	₱412,578,549	₱ -	₱329,268,009	₱37,930,689	₱1,742,311,683	**₱2,522,088,930**
Additions	107,106,799	-	51,278,321	31,739,169	1,128,563,471	**1,318,687,759**
Depreciation	(120,972,674)	-	(101,168,571)	(37,281,195)	-	**(259,422,439)**
Disposals	(5,509,792)	-	(2,205,877)	(43,498)	-	**(7,759,166)**
Reclassification	(6,993,714)	-	(7,450,137)	63,942	(163,942)	**(14,543,852)**
September 30, 2025	₱386,209,168	₱ -	₱269,721,745	₱32,409,107	₱2,870,711,212	**₱3,559,051,232**
September 30, 2025						
Cost	₱1,501,667,363	₱5,372,508	₱993,390,903	₱367,387,797	₱2,870,711,212	**₱5,738,529,783**
Accumulated depreciation	(1,115,458,195)	(5,372,508)	(723,669,158)	(334,978,690)	-	**(2,179,478,551)**
Net carrying amounts	₱386,209,168	₱ -	₱269,721,745	₱32,409,107	₱2,870,711,212	**₱3,559,051,232**

December 31, 2024

	LPG cylinders	Leasehold improvements	Transportation equipment	Furniture, fixtures and equipment	Construction-in-progress	**Total**
Net carrying amounts						
January 1, 2024	₱469,314,483	₱ -	₱282,131,438	₱48,502,329	₱1,862,778,790	**₱2,662,727,040**
Additions	3,329,927	-	189,434,439	27,538,236	1,068,503,157	**1,288,805,759**
Depreciation	(48,655,515)	-	(139,287,214)	(38,076,916)	-	**(226,019,645)**
Disposals	(11,410,346)	-	(3,010,654)	(32,960)	-	**(14,453,960)**
Reclassification	-	-	-	-	(1,188,970,264)	**(1,188,970,264)**
December 31, 2024	₱412,578,549	₱ -	₱329,268,009	₱37,930,689	₱1,742,311,683	**₱2,522,088,930**
December 31, 2024						
Cost	₱730,728,514	₱17,590,509	₱1,409,462,263	₱365,434,724	₱1,742,311,683	**₱4,265,527,693**
Accumulated depreciation	(318,149,965)	(17,590,509)	(1,080,194,254)	(327,504,035)	-	**(1,743,438,763)**
Net carrying amounts	₱412,578,549	₱ -	₱329,268,009	₱37,930,689	₱1,742,311,683	**₱2,522,088,930**

Depreciation charged to operations was allocated as follows:

	Sept. 30, 2025	Sept. 30, 2024
Cost of sales	**₱146,191,463**	₱205,674,362
Operating expenses	**113,230,976**	66,756,496
	₱259,422,439	₱272,430,858

Construction-in-progress pertains mainly to construction contracts for the site construction and installation of various mounded cylindrical LPG tank storage. These are reclassified to respective class of property, plant and equipment at revalued amounts when completed.

For the periods ended September 30, 2025 and 2024, certain property, plant and equipment at cost was disposed of for a total consideration of ₱14.47 million and ₱29.77 million resulting into a gain of ₱6.72 million and ₱4.69 million, respectively. The gain on disposal is presented as part of *Gain on sale of property, plant and equipment* under *Other operating income* in the consolidated statements of comprehensive income (see Note 27).

In 2024 and 2023, the Group capitalized specific borrowings costs amounting to ₱7,572,945 and ₱13,879,110, respectively, which was incurred on its long-term loans with a local bank and is intended to partially finance the construction of its Oxygen Plant in Mambatangan, Bukidnon. The construction was completed in 2024 and the Oxygen Plant started commercial operations on April 1, 2024 (see note 18).

No contractual commitments have been entered into by the Group for acquisition of any property, plant and equipment.

12. INVESTMENT PROPERTIES

This account consists of:

	2025	2024
Memorial lawn lots (note 36)	**₱452,109,475**	₱452,109,475
Land	**37,027,141**	37,027,141
	₱489,136,616	₱489,136,616

Movement of the account is, as follows:

	2025	2024
Balance at beginning of period	**₱489,136,616**	₱389,328,616
Additions	**-**	99,808,000
Balance at end of period	**₱489,136,616**	₱489,136,616

The memorial lawn lots were operated by the Parent Company located in various memorial parks in Mindanao. These were transferred by the Parent Company to PGI during the latter's rehabilitation and were previously classified as *assets held for dacion en pago*. With the termination of the rehabilitation plan, these memorial lawn lots have been reclassified to investment properties as the Group intends to hold these properties for capital appreciation.

The land pertains to three (3) parcels of land located in Luzon, which were acquired in 2014. These parcels of land are held for lease by one of its subsidiaries.

In 2024, Maybank Philippines, Inc. (MPI) and United Pacific Capital Corporation (UPCC) entered into an agreement with the Group for the rescission of the *dacion en pago* covering several parcels of memorial lots dated September 28, 2005 for MPI and March 24, 2004 and November 24, 2024 for UPCC. In fulfillment of the agreement, the Group paid ₱99,808,000 thereby rescinding the *dacion en pago*.

As at September 30, 2025 and December 31, 2024, the aggregate fair value of the investment properties amounted to ₱2.140 billion and ₱1.980 billion, respectively (see Note 35).

The fair value of the memorial lawn lots is based on the latest selling price of the Parent Company for such memorial lawn lots. On the other hand, the fair value of the land was arrived at using comparative Market Data Approach which considers the selling prices of similar or substitute properties within the same location and related market data and establishes an estimated value by process involving comparison. Listings and offerings were also considered. The properties used as basis in comparison are situated within the same location.

As at September 30, 2025 and December 31, 2024, there are no investment properties pledged as security for liabilities and no restrictions on title had been imposed.

No contractual commitments have been entered into by the Group for acquisition of any investment properties.

13. GOODWILL

Goodwill as at September 30, 2025 and December 31, 2024 mainly comprises the excess of the cost of acquiring the controlling shares of the subsidiaries over the fair value of the identifiable assets and liabilities acquired by the Parent Company. This is attributable to the investment in subsidiaries of the Parent Company as follows:

	2025	2024
PGI	**₱68,897,066**	₱68,897,066
PPhI	**1,771,239**	1,771,239
Total	**₱70,668,305**	₱70,668,305

Acquisition of PGI

The recoverable amount of PGI's CGU was based on value in use calculations using cash flow projections from financial budgets approved by management covering a five-year period. The pre-tax discount rate applied to cash flow projections. Cash flows beyond the five-year period are extrapolated using a growth rate determined by the management based on the assessment of market developments and changes in the environment in which the Company operates. The carrying value of goodwill amounted to ₱68.90 million as at September 30, 2025 and December 31, 2024. No impairment loss was recognized for goodwill arising from the acquisition of PGI.

The calculations of value in use for the PGI's CGU are most sensitive to the following assumptions:

- Budgeted gross margin – The management determined budgeted gross margin based on past performance and its expectations for the market development.
- Growth rate – The projected growth rate is based on a conservative steady growth rate that does not exceed the compounded annual growth rate of the global LPG industry.
- Pre-tax discount rate – Discount rates` reflect management's best estimate of the risks associated with the specific CGU. This is the benchmark rate used by management to measure operating performance.

On the assessment of the value in use of PGI, management believes that no reasonably possible change in any of the aforementioned assumptions would cause the carrying value of the CGU to exceed their recoverable amount.

Acquisition of PPhI

On July 2, 2015, the Parent Company and its subsidiary, PGI, subscribed to 7.5 million and 1.495 million common shares of PPhI, respectively, at a subscription price of ₱1 per share for a total consideration of ₱7.50 million and ₱1.50 million, respectively. As a result of the subscription, the Parent Company owns 75% direct equity interest and 13.66% indirect equity interest (through PGI) in PPhI.

The following table summarizes the consideration transferred for the fair value of the net assets acquired assumed at the acquisition date.

Net assets	₱7,638,348
Share of non-controlling shareholders	(1,909,587)
	5,728,761
Total consideration transferred	(7,500,000)
Goodwill	₱1,771,239

14. OTHER NONCURRENT ASSETS

This account consists of:

	2025	2024
Advances to contractors and suppliers	**₱15,528,382**	₱249,401,314
Refundable deposits	**39,899,547**	39,229,769
Advances for land acquisition	**283,770,225**	-
	₱339,198,154	₱288,631,083

Advances to contractors and suppliers pertain to deposits made to contractors and suppliers for the acquisition of property, plant and equipment. The acquisition of property, plant and equipment will be subsequently reclassified to property, plant and equipment once the title has been transferred to the Group.

Refundable deposits mainly represent security deposits for leases that will be refunded at the end of the lease term.

15. TRADE AND OTHER PAYABLES

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Accounts payable:		
Trade	**₱1,643,815,238**	₱903,128,228
Non-trade		6,759,177
	1,643,815,238	909,887,405
Deposits for park interment services	**306,643,898**	285,565,815
Due to government agencies	**70,863,690**	163,676,948
Accrued expenses	**116,626,614**	68,419,553
Due to park maintenance fund	**33,854,319**	55,980,209
Cylinder deposits	**62,530,789**	54,836,129
Deferred income	**19,885,129**	2,893,097
Others	**23,045,497**	17,496,411
Total	**₱2,277,265,174**	₱1,558,755,567

Trade payables pertain to amount due to suppliers payable within 30 days from date of sale and do not bear interest. Non-trade payables to third parties pertain to payables other than to suppliers of raw materials.

Deposits for park interment services represent accumulated collections from memorial lot owners exclusively intended for future interment services. This amount is recognized in other income net of related cost of interment when the interment services are performed during burial.

Due to government agencies include SSS, HDMF and PHIC payable, withholding taxes and other taxes payable.

Accrued expenses include accrued utilities, salaries and wages and others such as accrued rent and professional fees.

Due to park maintenance fund represent contributions made by memorial lot owners for the upkeep and maintenance of the memorial cemetery.

Cylinder deposits pertain to deposits made by customers for its industrial gases and 50 kg. LPG cylinders lent out by the Group.

Deferred income pertains to interest related to the car plans offered by the Group to certain officers and employees that were collected but not yet earned.

Others pertain to pool of funds contributed by the Group's officers to cover for future losses due to wrong management decisions.

16. CUSTOMERS' DEPOSITS

This account represents accumulated collections on memorial lots sold to customers but have not yet met the Group's specific revenue recognition criteria. Such deposits will be recognized as revenues when the revenue recognition criteria of the Group has been met.

The customers' deposits amounted to ₱447.34 million and ₱374.54 million as at September 30, 2025 and December 31, 2024, respectively.

17. BORROWINGS (short-term and current portion of long-term)

This account consists of:

September 30, 2025

	Parent Company	PGI	OOC	**Total**
Short-term loans	₱50,000,000	₱2,844,334,358	₱200,000,000	**₱3,094,334,358**
Long-term loans (current)	-	31,250,000	-	**31,250,000**
Total	₱50,000,000	₱2,875,584,358	₱200,000,000	**₱3,125,584,358**

December 31, 2024

	Parent Company	PGI	OOC	**Total**
Short-term loans	₱50,000,000	₱2,748,428,780	₱300,000,000	**₱3,098,428,780**
Long-term loans (current)	-	75,000,000	-	**75,000,000**
Total	₱50,000,000	₱2,823,428,780	₱300,000,000	**₱3,173,428,780**

The average interest rate on the short-term borrowings is 6.40% in 2025 and 6.44% in 2024. As at September 30, 2025 and December 31, 2024, the outstanding balance of borrowings (short-term and current portion of long-term) amounted to ₱3.13 billion and ₱3.17 billion, respectively. Total interest expense charged to operations amounted to ₱138.51 million and ₱123.35 million for the periods ended September 30, 2025 and 2024, respectively, and is presented as part of *Finance costs* under *Other operating expenses* in the consolidated statements of comprehensive income (see Note 26).

18. BORROWINGS (net of current portion)

PGI obtained long-term and secured loans from various banks with maturity of up to 15 years and are intended to finance the Group's expansion.

	2025	2024
Term loan of 6.750% due until 2030	**₱500,000,000**	₱500,000,000
Balance, term loan of 6.500% due until 2038	**337,500,000**	337,500,000
Term loan of 6.25% due until 2035	**625,000,000**	-
Total	**1,462,500,000**	837,500,000
Current portion	**(75,000,000)**	(75,000,000)
Borrowings (net of current portion)	**₱1,387,500,000**	₱762,500,000

The long-term loan agreement with a local bank provides for multiple drawdowns in the aggregate principal amount of up to ₱500,000,000 and available within the commitment period commencing from August 17, 2022 and ending at the earliest of (i) two years therefrom; or (ii) the date the loan is fully availed of; or (iii) the date the loan or the agreement is cancelled by mutual agreement between the parties.

In 2023 and 2024, PGI obtained the following drawdowns from the loan agreement:

Date availed	**Maturity date**	**Interest rate**	**Principal amount**
June 30, 2023	June 30, 2030	6.75%	₱200,000,000
July 12, 2023	June 30, 2030	6.75%	150,000,000
August 24, 2023	June 30, 2030	6.75%	100,000,000
May 28, 2024	June 30, 2030	6.75%	50,000,000
			₱500,000,000

The loan shall be payable within the term in equal quarterly installments, which shall commence after a grace period of two years from the initial drawdown date. The first principal payment on the loan shall commence on September 30, 2025 until June 30, 2030. Interest is payable monthly in arrears based on diminishing balance to commence one month after the initial drawdown date.

The loan is intended to partially finance the Group's construction of its Oxygen Plant in Mambatangan, Bukidnon which was completed in 2024 and started commercial operations on April 1, 2024.

Total borrowing costs capitalized by the Group amounted to ₱7,572,945 and ₱13,879,110 in 2024 and 2023, respectively, with capitalization rate of 100% and is recorded as part of *Construction-in-progress* under *Property, plant and equipment* in the consolidated statements of financial position (see note 11).

The loan is secured by a mortgage trust indenture of ₱500,000,000 held and managed by the bank's trustee.

On April 28, 2023, PGI obtained a long-term loan from another local bank amounting to ₱350,000,000 at 6.50% interest rate per annum with maturity of up to April 28, 2038.

The loan shall be payable within the term in equal quarterly installments, which shall commence on the fifth quarter reckoned from the date of initial release, or on July 29, 2024. Interest is payable quarterly in arrears based on diminishing balance to commence on the first quarter from the date of initial release.

On July 4, 2025, PGI obtained another long-term loan from the same local bank amounting to ₱625,000,000 at 6.25% interest rate per annum with maturity of up to July 4, 2035.

The loan shall be payable within the term in equal quarterly installments, which shall commence on the ninth quarter reckoned from the date of initial release, or on October 4, 2027. Interest is payable quarterly in arrears based on diminishing balance to commence on the first quarter from the date of initial release.

The loan is secured by a mortgage participation certificate of mortgage trust indenture with the bank trustee.

The additional loan is intended to finance the Group's construction of its LPG Terminals in Batangas and Palawan as well as its Oxygen Plant in San Fabian, Pangasinan.

The long-term borrowings are secured by certain real properties and equipment with an aggregate appraised value of ₱490,385,712 as of September 30, 2025 and December 31, 2024 (see note 10).

As at September 30, 2025 and December 31, 2024, the outstanding balance of borrowings (net of current portion) amounted to ₱1.388 billion and ₱762.5 million, respectively. Total interest expense charged to operations amounted to ₱30.21 million and ₱39.90 million for the periods ended September 30, 2025 and 2024, respectively, and is presented as part of *Finance costs* under *Other operating expenses* in the consolidated statements of comprehensive income (see Note 26).

19. CAPITAL STOCK

Details of this account are as follows:

	2025	2024
Common stock: ₱1 par value Authorized: 2,098,000,000 common shares	**₱2,098,000,000**	₱2,098,000,000
Subscribed, issued and fully paid: 2,024,500,000 shares	**₱2,024,500,000**	₱2,024,500,000

The Parent Company was incorporated on September 7, 1989 with an authorized capital stock of ₱1,000,000,000 divided into 600,000,000 shares of Class A common stock with the par value of ₱1.00 per share and 400,000,000 shares of Class B common stock with the par value of ₱1.00 per share.

On March 30, 1990, it obtained the SEC's approval of the registration of its capital stock for sale to the public and on October 29, 1991, 150,000,000 of its Class 'A' shares were listed at the Makati Stock Exchange at the issue/offer price of ₱1.00 per share and 50,000,000 of its Class 'B' shares were likewise so listed at the same issue/offer price of ₱1.00 per share.

On March 21, 1994, the SEC approved the amendment of its Articles of Incorporation to consolidated Class B common stock with Class A common stock as the Parent Company's authorized capital stock. Thus, the Parent Company's capital stock stood at ₱1 billion divided into 1,000,000,000 common shares with the par value of ₱1.00 per share.

On July 31, 1996, the SEC approved the increase of the capital stock of the Parent Company from ₱1 billion divided into 1,000,000,000 shares with the par value of ₱1.00 per share to ₱2 billion divided into 2,000,000,000 shares with the par value of ₱1.00 per share.

On December 13, 2017, the SEC approved the increase of the authorized capital stock of the Parent Company from ₱2 billion divided into 2,000,000,000 shares with the par value of ₱1 per share to ₱2.098 billion divided into 2,098,000,000 shares with the par value of ₱1.00 per share.

The Parent Company's shares are listed in the PSE. As at September 30, 2025 and December 31, 2024, the Parent Company's stock price amounted to ₱12.60 and ₱10.68 per share, respectively.

As at September 30, 2025 and December 31, 2024, the Parent Company has three hundred fifty nine (359) and three hundred sixty three (363) equity holders, respectively.

20. TREASURY STOCKS

In 2018, the Parent Company's BOD approved the common shares buy-back program under the following terms and conditions:

- The buy-back program shall be for a term of 24 months commencing on November 20, 2018 up to November 19, 2020.
- The Parent Company shall be authorized to repurchase up to ₱500 million worth of common shares.
- The buy-back program shall be executed in the open market through the trading facility of PSE.
- The buy-back program shall be implemented in an orderly manner and should not adversely affect the Parent Company and its subsidiaries' prospective and existing projects.

On November 27, 2020, the BOD approved the following resolutions in relation to the aforementioned buy-back program:

- The BOD approved the extension of the aforesaid buyback program from November 19, 2020 up to such time when the appropriated ₱500 million fund has been totally spent for the purpose;
- Further, the BOD approved that after the aforesaid ₱500 million fund has been totally consumed, another buy-back program (Second Buy-back Program) will follow for which a similar fund of ₱500 million will be set aside and will last for one year.

As at September 30, 2025 and December 31, 2024, the Group has treasury stocks amounting to 143,953,831 shares with cost of ₱715.49 million.

21. RETAINED EARNINGS

Dividend declaration

Parent Company's dividend declaration

In a special meeting held on May 2, 2025, the Parent Company's BOD declared cash dividends amounting to ₱488.99 million which is equivalent to ₱0.26 per share to stockholders of record as of May 30, 2025 payable on June 26, 2025 out of its unrestricted retained earnings as of December 31, 2024.

In a special meeting held on November 5, 2024, the Parent Company's BOD declared cash dividends amounting to ₱376.13 million which is equivalent to ₱0.20 per share to stockholders of record as of December 2, 2024 payable on January 2, 2025 out of its unrestricted retained earnings as of December 31, 2023.

In a special meeting held on May 8, 2024, the Parent Company's BOD declared cash dividends amounting to ₱376.13 million which is equivalent to ₱0.20 per share to stockholders of record as of June 7, 2024 payable on July 1, 2024 out of its unrestricted retained earnings as of December 31, 2023.

Cash dividends declared in 2025 and 2024 are summarized below:

Date declared	Date paid	Dividend per share	**2025**	2024
May 2, 2025	June 26, 2025	0.26	**₱488,992,834**	₱-
November 5, 2024	January 2, 2025	0.20	**-**	376,126,794
May 8, 2024	July 1, 2024	0.20	**-**	376,126,794
			₱488,992,834	₱752,253,588

PGI's dividend declaration

At the special meeting of PGI's BOD held on March 21, 2025, the Board approved distribution of a cash dividend to stockholders of record as of March 24, 2025 amounting to ₱560 million.

At the special meeting of PGI's BOD held on August 22, 2024, the Board approved distribution of a cash dividend to stockholders of record as of August 22, 2024 amounting to ₱560 million.

At the special meeting of PGI's BOD held on April 3, 2024, the Board approved distribution of a cash dividend to stockholders of record as of April 4, 2024 amounting to ₱560 million.

Cash dividends declared in 2025 and 2024 are summarized below:

Declared	Date paid	Dividend per share	**2025**	2024
March 21, 2025	March 26, 2025	0.20	**₱560,000,000**	₱-
August 22, 2024	August 28, 2024	0.20	**-**	560,000,000
April 3, 2024	April 5, 2024	0.20	**-**	560,000,000
			₱560,000,000	₱1,120,000,000

As at September 30, 2025 and December 31, 2024, dividends payable amounted to ₱47.41 million and ₱425.54 million, respectively.

22. RELATED PARTY TRANSACTIONS

Material Related Party Transactions (RPT)

The Group adopted the materiality threshold of ten percent (10%) of its total consolidated assets based on its latest consolidated audited financial statements. All material RPTs shall be approved by at least two-thirds (2/3) vote of the BOD with at least a majority of the independent directors voting to approve the material RPT. The threshold shall apply to material RPTs entered between the Group, its subsidiary or affiliate or any related party.

23. REVENUES

The details of this account are as follows:

a) LPG and industrial gases

	2025	2024
LPG, cylinders, stoves and accessories	**₱14,608,547,743**	₱14,072,813,611
Industrial gases	**878,701,217**	665,506,900
	₱15,487,248,960	₱14,738,320,511

b) Real estate and memorial park operations

	2025	2024
Real estate sales	**₱276,437,109**	₱199,343,282
Interment service	**2,968,750**	34,212,423
	₱279,405,859	₱233,555,705

c) Pharmaceutical products

Revenue from sale of pharmaceutical products amounted to ₱45.25 million and ₱36.48 million for the periods ended September 30, 2025 and 2024, respectively.

24. COST OF SALES AND SERVICES

a) Cost of sales on LPG and industrial gases for the periods ended September 30 are as follows:

	2025	2024
LPG, cylinders, stoves and accessories	**₱10,602,202,867**	₱10,120,322,554
Industrial gases	**609,783,718**	387,252,110
	₱11,211,986,585	₱10,507,574,664

b) Cost of real estate and memorial park operations for the periods ended September 30 are as follows:

	2025	2024
Cost of real estate sales	**₱75,531,070**	₱36,574,767
Cost of interment services	**866,875**	26,660,481
	₱76,397,945	₱63,235,248

The cost of real estate recognized in the consolidated statements of comprehensive income is determined with reference to the specific costs incurred on the property sold.

The cost of interment services includes the cost of concrete vault and flat marker, use of multi-purpose pavilion, sound system, tents and chairs, digging and burial services.

c) Cost of sales on pharmaceutical products for the periods ended September 30 are as follows:

	2025	2024
Beginning inventory – note 7	**₱14,712,193**	₱7,106,256
Add: Purchases	**23,513,092**	24,241,510
Total good available for sale	**38,225,285**	31,347,766
Less: Ending inventory – note 7	**6,651,540**	6,922,892
	₱31,573,745	₱24,424,874

25. OPERATING EXPENSES

Operating expenses for the periods ended September 30 are as follows:

	2025	2024
Selling expenses	**₱1,033,175,134**	₱951,801,205
Administrative expenses	**915,910,205**	817,075,842
	₱1,949,085,339	₱1,768,877,047

26. FINANCE COSTS

Finance costs for the periods ended September 30 are as follows:

	2025	2024
Borrowings (short-term and current portion of long-term) – note 17	**₱138,507,983**	₱123,354,914
Borrowings (net of current portion) – note 18	**30,214,298**	39,901,027
Lease liabilities	**1,316,868**	1,468,422
Others	**725,075**	3,282,900
	₱170,764,224	₱168,007,263

27. OTHER OPERATING INCOME (EXPENSES) (net)

Other operating income (expenses) for the periods ended September 30 are as follows:

	2025	2024
Cash dividend income - note 5	**₱215,791,149**	₱27,537,727
Gain (Loss) on sale of financial assets at FVPL – note 5	**38,271,212**	3,205,500
Sale of scrap and junked materials	**1,902,047**	20,832,242
Gain on sale of property, plant and equipment – notes 10 and 11	**6,715,557**	4,755,227
Interest income from banks – note 4	**49,247,733**	42,937,485
Others	**(1,875,837)**	(512,351)
	₱310,051,861	₱98,755,830

28. OTHER COMPREHENSIVE INCOME

This account as at September 30, 2025 and December 31, 2024 consists of:

	2025	2024
Remeasurement gain on retirement benefits obligation		
At beginning of period	**₱28,859,291**	₱28,859,291
Remeasurement gain during the period, net of tax	**-**	-
At end of period	**28,859,291**	28,859,291
Revaluation reserves		
At beginning of period	**3,576,339,461**	3,761,599,422
Transfer of revaluation reserves deducted from operations through additional depreciation charges – note 10	**(153,311,649)**	(247,013,280)
Deferred income tax effect on revaluation reserves charged to operations through additional depreciation	**39,489,014**	61,753,319
At end of period	**3,462,516,826**	3,576,339,461
Total other comprehensive income	**₱3,491,376,117**	₱3,605,198,752

29. RETIREMENT BENEFITS OBLIGATION

The Group maintains a retirement benefits plan covering employees on regular employment status. The plan is a funded noncontributory defined benefit plan that provides retirement benefits equal to the following: (a) 150% of monthly final salary for every year of service rendered for the first 20 years; (b) 175% of monthly final salary for every year of service rendered in excess of 20 years but not more than 25 years; and, (c) 200% of monthly final salary for every year of service rendered in excess of 25 years. The plans use the projected unit credit method of actuarial valuation in its retirement benefit cost computation.

The Group has a funded, defined benefit retirement plan computed based on the projected unit credit method. It provides for estimated retirement benefits cost required to be paid under R.A. No. 7641 to qualified employees.

Contributions and costs are determined in accordance with actuarial valuation made for the plan. The Group's latest actuarial valuation is as at December 31, 2023.

The amounts recognized in the consolidated statements of financial position arising from the Group's consolidated obligation in respect of retirement benefits as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Present value of defined benefit obligation	**₱583,793,328**	₱527,998,727
Fair value of plan assets	**(524,278,374)**	(479,778,374)
Retirement benefits obligation	**₱59,514,954**	₱48,220,353

The Group's retirement plan assets consist of government bonds and other fixed income securities with short-term deposits as at September 30, 2025 and December 31, 2024.

For the determination of the retirement benefits obligation, the following actuarial assumptions were used:

	2025	2024
Discount rate	**6.07%**	6.07%
Expected salary increase rate	**5.50%**	5.50%

The discount rate as at September 30, 2025 and December 31, 2024, also called the zero-yield curve, was based on approximated zero-coupon yield of government bonds with remaining period to maturity approximating the estimated average duration of benefit payment. The average duration is estimated to be 18 years. The mortality and the disability rates used in the valuation were the 1994 Group Annuity Table and the 1952 Disability Table, respectively.

Regulatory framework in which the retirement obligation operates

In accordance with the provisions of the Labor Code, the Group is required to pay eligible employees at least the minimum regulatory benefit upon retirement, subject to age and service requirements.

Responsibilities of trustees

The assets of the retirement plan are managed by a related party, PGI Retirement Fund, Inc., which is a non-stock corporation duly registered with the SEC, under a trust agreement. The trustee invests the funds and ensures that the funds are used only to pay for benefits stated in the plan.

The BOD convenes and makes investment decisions related to the retirement fund.

Plan amendments, curtailments or settlements

There was no plan amendment, curtailment or settlement recognized for the periods ended September 30, 2025 and December 31, 2024.

30. EARNINGS PER SHARE

Earnings per share are computed based on the weighted average number of common shares outstanding during the period.

	2025	2024
Net income attributable to equity holders of the Parent Company	**₱2,773,214,110**	₱2,039,191,610
Weighted average number of common shares outstanding during the period	**1,880,546,169**	1,882,967,213
	₱ 1.475	₱ 1.083

The weighted average number of common shares as at September 30 is computed, as follows:

2025

	Outstanding shares	**Portion of year outstanding**	**Weighted average number of common shares**
As at January 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at February 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at March 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at April 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at May 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at June 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at July 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at August 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
As at September 1, 2025	**1,880,546,169**	**1/9**	**208,949,574.3**
Total			**1,880,546,169**

2024

	Outstanding shares	Portion of year outstanding	Weighted average number of common shares
As at January 1, 2024	1,888,338,669	1/9	209,815,407.7
As at February 1, 2024	1,888,338,669	1/9	209,815,407.7
As at March 1, 2024	1,886,662,769	1/9	209,629,196.5
As at April 1, 2024	1,880,633,969	1/9	208,959,329.9
As at May 1, 2024	1,880,546,169	1/9	208,949,574.3
As at June 1, 2024	1,880,546,169	1/9	208,949,574.3
As at July 1, 2024	1,880,546,169	1/9	208,949,574.3
As at August 1, 2024	1,880,546,169	1/9	208,949,574.3
As at September 1, 2024	1,880,546,169	1/9	208,949,574.3
Total			1,882,967,213

31. INCOME TAX HOLIDAY REGISTRATION WITH THE BOI

PGI

PGI is registered with the BOI and entitled to ITH exemptions provided under Republic Act No. 8479, otherwise known as the "Downstream Oil Industry Deregulation Act of 1998".

			ITH entitlement period	
	Registered activity	**Registered capacity**	**From**	**To**
1.	Bulk marketing of petroleum products (Lila, Bohol LPG Terminal with one LPG storage tank with a capacity of 2,000 MT)	One LPG storage tank with a capacity of 2,000 MT	January 1, 2023	December 31, 2027
2.	Bulk marketing of petroleum products (Lugait, Misamis Oriental LPG Terminal with 4,000 MT combined capacity of two LPG storage tanks; Barangay Calangahan, Lugait, Misamis Oriental	Two LPG storage tanks with combined capacity of 4,000 MT	March 1, 2022	February 28, 2027
3.	Bulk marketing of LPG products (San Fabian LPG Terminal for additional one LPG storage tank with 2,000 MT capacity)	Additional 2,000 MT LPG storage tank capacity	June 1, 2023	May 31, 2028
4.	Bulk marketing of petroleum products (Talisayan, Zamboanga City LPG Terminal with 2,000 MT capacity of one additional storage tank; Purok, Talisayan, Zamboanga City)	One LPG storage tank with a capacity of 2,000 MT	July 1, 2019	June 30, 2024
5.	Bulk marketing of petroleum products (Ajuy, Iloilo LPG Terminal with 2,000 MT capacity of one additional storage tank; Brgy. Barrido, Ajuy, Iloilo)	One LPG storage tank with a capacity of 2,000 MT	August 1, 2019	July 31, 2024
6.	Bulk marketing of petroleum products (Ayungon, Negros Oriental LPG Terminal with 2,000 MT capacity of one additional storage tank; Brgy. Iniban, Ayungon, Negros Oriental)	One LPG storage tank with a capacity of 2,000 MT	August 1, 2019	July 31, 2024

For the year 2024, there are six (6) LPG terminals and refilling plant operations enjoying ITH. For the period ended September 30, 2025, there are only three (3) LPG terminals and refilling plant operations enjoying ITH. While income on other LPG terminal and refilling plant operations, upon which ITH has expired, is subject to MCIT of 2% based on gross profit when it is greater than the RCIT of 25% or when PGI has zero or negative taxable income. The excess of MCIT over RCIT shall be carried forward and credited against RCIT for the three immediately succeeding taxable years.

As at September 30, 2025 and December 31, 2024, the Group is in compliance with the terms and conditions set forth by BOI.

SFOC

SFOC is registered with the BOI and entitled to ITH provided under RA No. 11354, otherwise known as the "Corporate Recovery and Tax Incentives for Enterprise Act".

		ITH entitlement period	
Registered activity	**Registered capacity**	**From**	**To**
New domestic producer of liquid oxygen	12,561.12 tons of liquid oxygen per year	January 1, 2024	December 31, 2029

As at September 30, 2025 and December 31, 2024, SFOC is in compliance with the terms and conditions set forth by the BOI.

32. LEASES

The Group has entered into various lease agreements for its sales centers, terminals, refilling plants and office units as a lessee.

Group as lessee

Long-term lease agreements

The Group has entered into various lease agreements with various local companies and individuals for its Visayas and Mindanao operations' sales center offices and lot for its refilling plants for a period ranging from three (3) to twenty (20) years. Monthly rent ranges from ₱8,000 to ₱134,000.

Provision on the renewal or extension of the lease agreements depends upon the mutual agreement of both lessor and lessee.

Right-of-use Assets

The reconciliation of right-of-use assets recognized from the aforementioned long-term lease agreements as at September 30, 2025 and December 31, 2024 is as follows:

September 30, 2025:

	Land	Commercial space/unit	Total
Cost			
Balance at beginning of period	**₱82,741,970**	**₱183,253,466**	**₱265,995,436**
Additions	-	-	-
Write-off	-	-	-
Balance at end of period	**82,741,970**	**183,253,466**	**265,995,436**
Accumulated depreciation			
Balance at beginning of period	**72,266,346**	**95,746,855**	**168,013,201**
Depreciation	**3,170,049**	**1,706,950**	**4,876,999**
Write-off	-	-	-
Balance at end of period	**75,436,395**	**97,453,805**	**172,890,200**
Carrying amount, Sept. 30, 2025	**₱7,305,575**	**₱85,799,661**	**₱93,105,236**

December 31, 2024:

	Land	Commercial space/unit	Total
Cost			
Balance at beginning of year	₱89,021,530	₱180,181,089	₱269,202,619
Additions	-	35,841,103	35,841,103
Write-off	(6,279,560)	(32,768,726)	(39,048,286)
Balance at end of year	82,741,970	183,253,466	265,995,436
Accumulated depreciation			
Balance at beginning of year	64,105,790	79,827,906	143,933,696
Depreciation	8,940,276	35,342,918	44,283,194
Write-off	(779,720)	(19,423,969)	(20,203,689)
Balance at end of year	72,266,346	95,746,855	168,013,201
Carrying amount, Dec. 31, 2024	₱10,475,624	₱87,506,611	₱97,982,235

Lease Liabilities

Lease liabilities, as shown in the statements of financial position as at September 30, 2025 and December 31, 2024 consist of:

	2025	2024
Current	**₱31,490,863**	₱39,871,671
Noncurrent	**69,924,441**	69,924,441
	₱101,415,304	₱109,796,112

In 2024, the Group wrote-off the several right-of-use assets with net carrying amount of ₱18,844,597 pertaining to leases that have been pre-terminated. The corresponding lease liabilities for these write-off amounted to ₱42,113,792.

Short-term lease agreements

The Group has entered into various operating lease agreements for its sales centers and office units with various local companies and individuals for a period of one (1) year renewable thereafter upon mutual agreement of both parties. Monthly rent range from ₱4,000 to ₱25,000.

Group as lessor

The Group entered into various operating leases on its machinery and equipment for a term of one to five years.

33. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Group is exposed to a variety of financial risks which result from both its operating and financing activities. The Group's risk management is in the BOD, and focuses on actively securing the Group's short-term to medium-term cash flows by transacting only with reputable third parties. Long-term financial investments are managed to generate lasting returns.

The Group's principal financial instruments comprise of cash and cash equivalents, trade and other receivables, refundable deposits, trade and other payables (excluding due to government agencies, deposit for park internment services and due to park maintenance fund), borrowings, lease liabilities and dividends payable. The main purpose of these financial instruments is to raise financing for the Group's operations. The Group has other financial instruments such as financial assets at FVPL.

The Group is exposed to market risk, credit risk and liquidity risk.

Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Financial instruments affected by market risk include borrowings, debt and equity investments.

Price risk

This is a risk that the value of a financial instrument will fluctuate as a result of changes in market prices, whether those changes are caused by factors specific to the individual instrument or its issuer, or factors affecting all instruments traded in the market.

The Group is exposed to such risk because of its equity securities classified as financial assets at FVPL. The Group is continuously monitoring the market prices of these securities.

If equity prices had been 5% higher/lower, income before income tax for the periods ended September 30, 2025 and December 31, 2024 would increase/decrease by ₱261.56 million and ₱98.01 million, respectively, as a result of the changes in fair value of financial assets at FVPL. Equity as at September 30, 2025 and December 31, 2024 would increase/decrease by ₱196.17 million and ₱73.51 million, respectively.

Interest rate risk

The Group's exposure to interest rate risk relates primarily to the Group's financial instruments with a floating interest rate. Floating rate financial instruments are subject to cash flow interest rate risk. Re-pricing of floating rate financial instruments is done every quarter.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Group's borrowings (see Notes 17 and 18).

	Increase (Decrease) in Basis Points	**Effect on Income Before Tax**	**Effect on Equity After Tax**
2025	**1.00**	**(₱45,130,844)**	**(₱33,848,133)**
	0.50	**(22,565,422)**	**(16,924,066)**
	(1.00)	**45,130,844**	**33,848,133**
	(0.50)	**22,565,422**	**16,924,066**
2024	1.00	(₱39,359,288)	(₱29,519,466)
	0.50	(19,679,644)	(14,759,733)
	(1.00)	39,359,288	29,519,466
	(0.50)	19,679,644	14,759,733

Credit risk

Credit risk refers to the risk that counterparties will default on its contractual obligations resulting in financial loss to the Group.

Credit risk management

In order to minimize credit risk, the Group has adopted a policy of only dealing with creditworthy counterparties as a means of mitigating the risk of financial loss from defaults.

The Group's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Before accepting any new customer, a dedicated team responsible for the determination of credit limits uses an internal credit scoring system to assess the potential customer's credit quality and defines credit limits by customer.

Credit approvals and other monitoring procedures are also in place to ensure that follow-up action is taken to recover overdue debts. Furthermore, the Group reviews the recoverable amount of each trade receivables on an individual basis at the end of the reporting period to ensure that adequate loss allowance is made for irrecoverable amounts.

Trade receivables consist of a large number of customers, spread across diverse industries and geographical areas. Ongoing credit evaluation is performed on the financial condition of trade receivables.

Generally, the maximum credit risk exposure of financial assets is the carrying amount of financial assets as shown in the face of consolidated statements of financial position.

Credit risk exposure

In order to minimize credit risk, the Group has developed and maintained internal credit risk gradings to categorize exposures according to their degree of risk of default. The Group uses its own trading records to rate its major customers and other debtors.

The ECL arising from Group's receivables from sale of real estate is determined using the simplified approach and calculates ECL based on lifetime ECL. The Group does not track changes in credit risk, but instead recognizes loss allowance based on lifetime ECL at each reporting date. For receivables other than those from sale of real estate, the Group's current credit risk grading framework is as follows:

Category	Description	Basis for recognizing ECL	Stage
Performing	The counterparty has a low risk of default and does not have any past due amounts.	12-month ECL	1
Doubtful	Amount is 120 days past due or there has been a significant increase in credit risk since initial recognition.	Lifetime ECL – not credit-impaired	2

In default	Amount is 120 days past due or there is evidence indicating the asset is credit-impaired.	Lifetime ECL – credit-impaired	3
Write-off	There is evidence indicating that the debtor is in severe financial difficulty and the Group has no realistic prospect of recovery.	Amount is written off	3

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash to meet operating capital requirements. The Group aims to maintain flexibility in funding through an efficient collection of its receivables and from the continuous financial assistance extended by its related parties in the form of loans and advances.

34. CAPITAL RISK OBJECTIVE AND MANAGEMENT

The Group monitors its capital gearing by measuring the ratio of interest-bearing debt to total capital. Interest-bearing debt includes all short term and long term borrowings.

The Group's ratio of interest-bearing debt to total capital is as follows:

	2025	2024
Total interest-bearing debt (a)	**₱4,513,084,358**	**₱3,935,928,780**
Total equity (b)	**21,612,849,306**	**19,120,427,391**
Total interest-bearing debt and equity	**₱26,125,933,664**	**₱23,056,356,171**
Gearing ratio (a/b)	**21%**	**21%**

The Group is not subject to any externally imposed capital requirements.

35. FAIR VALUE INFORMATION

Assets measured at fair value

The following table gives information about how the fair values of the Group's assets, which are measured at fair value as at September 30, 2025 and December 31, 2024, are determined in particular, the valuation technique(s) and inputs used.

	Fair value as at Sept. 30 and Dec. 31			
	2025	2024	Fair value hierarchy	Valuation technique
Financial assets at FVPL	**₱5,231,196,803**	₱1,960,148,002	Level 1	Quoted prices in an active market
Property, plant and equipment at revalued amounts	**12,262,064,235**	12,162,361,313	Level 2	Market data approach
	₱17,493,261,038	₱14,122,509,315		

Fair value of financial assets at FVPL is measured at quoted prices in an active market. The property, plant and equipment were appraised on April 28, 2022 by an independent appraiser accredited by the SEC. The value of the properties was determined using the Market Data Approach. In this method of valuation, the value is based on sales, listings and other market data of comparable properties registered within the vicinity of subject properties.

Assets and liabilities not measured at fair value

The following financial assets and liabilities are not measured at fair value on recurring basis but the fair value disclosure is required:

	2025		2024			
	Fair value	**Carrying value**	Fair value	Carrying value	Fair value hierarchy	Valuation technique
Financial asset						
Refundable deposits	**₱37,752,095**	**₱39,899,547**	₱36,974,335	₱39,229,769	Level 3	(a)
Non-financial asset						
Investment properties	**2,140,102,464**	**489,136,616**	1,980,025,679	489,136,616	Level 2	(b)
Total	**₱2,177,854,559**	**₱529,036,163**	₱2,017,000,014	₱528,366,385		
Financial liabilities						
Lease liabilities	**₱69,924,441**	**₱69,924,441**	₱69,924,441	₱69,924,441	Level 3	(a)
Borrowings	**742,156,302**	**1,387,500,000**	481,727,997	762,500,000		
Total	**₱812,080,743**	**₱1,457,424,441**	₱551,652,438	₱832,424,441		

(a) Refundable deposits, lease liabilities and borrowings

Significant unobservable input	Relationship of unobservable inputs to fair value
Discounted cash flows are determined by reference to prevailing market lending rate of 5.688% in 2025 and 6.10% in 2024.	The higher the discount rate, the lower the fair value.

(b) The fair value is determined by applying the market comparison approach. The valuation model is based on the market price of comparable real estate properties in the area in which the Group's parcels of land are located and the recent selling price of the memorial lawn lots of the Parent Company.

The carrying amounts of cash and cash equivalents, trade and other receivables, trade and other payables, current portion of borrowings and dividends payable approximate their fair values due to the short-term maturities of these financial instruments.

There has been no transfer from one fair value hierarchy level to another.

36. REAL ESTATE PROPERTIES TRANSFERRED THROUGH DACION EN PAGO COVERED BY THE REHABILITATION PLAN

In 2004, the Parent Company transferred real estate properties to PGI in exchange for PGI's shares of stock as capital equity contribution. The application for the increase in capital stock to ₱2,100,000,000 by PGI was approved by the SEC on June 30, 2004. Furthermore, the Bureau of Internal Revenue (BIR) issued a certification on November 5, 2004 and December 29, 2004 certifying the transferred real estate properties in exchange for shares of stock is a tax-free exchange.

The real estate properties transferred by the Parent Company to PGI are accounted in the Group's consolidated financial statements as investment properties (see note 12). These are measured at the par value of its capital stock issued to the Parent Company, which is equivalent to the fair values of the real estate properties transferred based on Court Order issued by the Regional Trial Court.

A portion of the investment properties were transferred to its creditors by way of *dacion en pago* covered by the rehabilitation plan. As at September 30, 2025 and December 31, 2024, its remaining investment properties attributable to transferred real estate amounted to ₱452,109,475.

PGI real estate properties transferred to creditors by way of *dacion en pago* covered by the rehabilitation plan

In 2004 and 2005, PGI transferred significant portion of the above real estate properties to its creditors by way of *dacion en pago* based on fair values as determined in the Court Order issued by the Regional Trial Court on the rehabilitation plan of PGI. The difference between the fair value and the related cost (as reported in the books and records by the Parent Company) of these transferred properties amounted to ₱1,030,726,843. Subsequent to 2005, there was no real estate properties of PGI transferred to creditors by way of *dacion en pago*.

The ₱1,030,726,843 as at December 31, 2018 represents the net difference between the fair value and the related cost of the Parent Company's real estate properties transferred to PGI's creditors in settlement of its debts covered by the rehabilitation plan. This amount was reclassified to retained earnings in 2018.

37. CONTINGENCIES

The Group is involved in litigations, claims and disputes arising in the ordinary course of business. Management believes that the ultimate liability, if any, with respect to such litigations, claims and disputes will not materially affect the consolidated financial position and results of operations of the Group.

38. EVENT AFTER THE REPORTING DATE

<u>PGI dividend declaration</u>

On October 8, 2025, the BOD of PGI declared cash dividends equivalent to ₱0.20 per common share payable on October 10, 2025 to stockholders of record as of October 9, 2025. The payment will be funded out of its unrestricted retained earnings as of December 31, 2024.

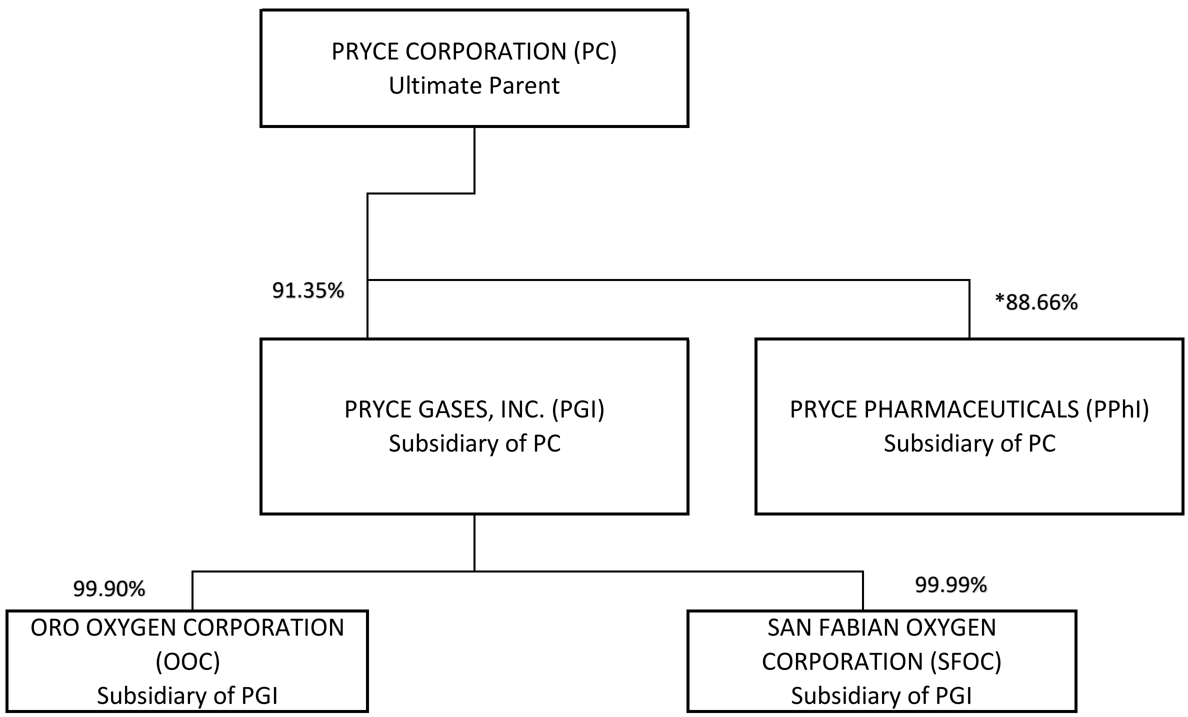
* * *

PRYCE CORPORATION AND SUBSIDIARIES
ANNEX "A" - FINANCIAL SOUNDNESS

	Jan to Sept 2025	Jan to Sept 2024
Profitability ratios :		
Return on assets	**12.26%**	11.12%
Return on equity	**17.33%**	15.82%
Net profit margin	**20.80%**	18.29%

	Sept. 30 2025	Dec. 31 2024
Solvency and liquidity ratios:		
Current ratio	**2.190**	1.920
Debt to equity ratio	**0.409**	0.418
Financial leverage ratio:		
Asset to equity ratio	**1.409**	1.418
Debt to asset ratio	**0.290**	0.295
Interest rate coverage ratio	**21.668**	18.598

PRYCE CORPORATION AND SUBSIDIARIES
ANNEX "B" – MAP OF CONGLOMERATE OR GROUP
OF COMPANIES WITHIN WHICH THE COMPANY BELONGS
SEPTEMBER 30, 2025



*Includes indirect equity ownership of 13.66%

ANNEX C

PRYCE CORPORATION AND SUBSIDIARIES
SEPTEMBER 30, 2025

PHILIPPINE FINANCIAL REPORTING STANDARDS AND INTERPRETATIONS **Effective as at September 30, 2025**		**Adopted**	**Not Adopted**	**Not Applicable**
Framework for the Preparation and Presentation of Financial Statements Conceptual Framework Phase A: Objectives and qualitative characteristics		✔		
PFRSs Practice Statement Management Commentary				✔
Philippine Financial Reporting Standards				
PFRS 1 (Revised)	First-time Adoption of Philippine Financial Reporting Standards			✔
	Amendments to PFRS 1: Additional Exemptions for First-time Adopters			✔
	Amendment to PFRS 1: Limited Exemption from Comparative PFRS 7 Disclosures for First-time Adopters			✔
	Amendments to PFRS 1: Severe Hyperinflation and Removal of Fixed Date for First-time Adopters			✔
	Amendments to PFRS 1: Government Loans			✔
PFRS 2	Share-based Payment			✔
	Amendments to PFRS 2: Vesting Conditions and Cancellations			✔
	Amendments to PFRS 2: Group Cash-settled Share-based Payment Transactions			✔
	Amendments to PFRS 2: Classification and Measurement of Share-based Payment Transactions			✔
PFRS 3 (Revised)	Business Combinations	✔		
PFRS 4	Insurance Contracts			✔
	Amendments to PFRS 4: Applying PFRS 9, Financial Instruments with PFRS 4, Insurance Contracts			✔
PFRS 5	Non-current Assets Held for Sale and Discontinued Operations			✔
PFRS 6	Exploration for and Evaluation of Mineral Resources			✔

PHILIPPINE FINANCIAL REPORTING STANDARDS AND INTERPRETATIONS Effective as at September 30, 2025		Adopted	Not Adopted	Not Applicable
PFRS 7	Financial Instruments: Disclosures	✔		
	Amendments to PFRS 7: Improving Disclosures about Financial Instruments	✔		
	Amendments to PFRS 7: Disclosures - Transfers of Financial Assets	✔		
	Amendments to PFRS 7: Disclosures - Offsetting Financial Assets and Financial Liabilities	✔		
	Amendments to PFRS 7: Mandatory Effective Date of PFRS 9 and Transition Disclosures	✔		
PFRS 8	Operating Segments	✔		
PFRS 9 (2014)	Financial Instruments	✔		
PFRS 10	Consolidated Financial Statements	✔		
	Amendments to PFRS 10, PFRS 11 and PFRS 12: Transition Guidance	✔		
	Amendments to PFRS 10, PFRS 12 and PAS 27: Investment Entities			✔
	Amendments to PFRS 10, PFRS 12 and PAS 28: Investment Entities: Applying the Consolidation Exception			✔
PFRS 11	Joint Arrangements			✔
	Amendments to PFRS 10, PFRS 11 and PFRS 12: Transition Guidance			✔
	Amendments to PFRS 11: Accounting for Acquisitions of Interests in Joint Operations			✔
PFRS 12	Disclosure of Interests in Other Entities	✔		
	Amendments to PFRS 10, PFRS 11 and PFRS 12: Transition Guidance			✔
	Amendments to PFRS 10, PFRS 12 and PAS 27: Investment Entities			✔
	Amendments to PFRS 10, PFRS 12 and PAS 28: Investment Entities: Applying the Consolidation Exception			✔
PFRS 13	Fair Value Measurement	✔		
PFRS 14	Regulatory Deferral Accounts			✔
PFRS 15	Revenue from Contracts with Customers	✔		
	Amendments to PFRS 15: Clarifications to PFRS 15	✔		

PHILIPPINE FINANCIAL REPORTING STANDARDS AND INTERPRETATIONS Effective as at September 30, 2025		Adopted	Not Adopted	Not Applicable
Philippine Accounting Standards				
PAS 1 (Revised)	Presentation of Financial Statements	✔		
	Amendments to PAS 32 and PAS 1: Puttable Financial Instruments and Obligations Arising on Liquidation			✔
	Amendments to PAS 1: Presentation of Items of Other Comprehensive Income	✔		
	Amendments to PAS 1: Disclosure Initiative	✔		
PAS 2	Inventories	✔		
PAS 7	Statement of Cash Flows	✔		
	Amendments to PAS 7: Disclosure Initiative	✔		
PAS 8	Accounting Policies, Changes in Accounting Estimates and Errors	✔		
PAS 10	Events after the Reporting Period	✔		
PAS 12	Income Taxes	✔		
	Amendments to PAS 12: Deferred Tax: Recovery of Underlying Assets	✔		
	Amendments to PAS 12: Recognition of Deferred Tax Assets for Unrealized Losses	✔		
PAS 16	Property, Plant and Equipment	✔		
	Amendments to PAS 16 and PAS 38: Clarification of Acceptable Methods of Depreciation and Amortization	✔		
	Amendments to PAS 16 and PAS 41: Agriculture: Bearer Plants			✔
PAS 17	Leases	✔		
PAS 19 (Revised)	Employee Benefits	✔		
	Amendments to PAS 19: Defined Benefit Plans: Employee Contributions	✔		
PAS 20	Accounting for Government Grants and Disclosure of Government Assistance			✔
PAS 21	The Effects of Changes in Foreign Exchange Rates	✔		
	Amendment: Net Investment in a Foreign Operation			✔
PAS 23 (Revised)	Borrowing Costs	✔		
PAS 24 (Revised)	Related Party Disclosures	✔		

PHILIPPINE FINANCIAL REPORTING STANDARDS AND INTERPRETATIONS Effective as at September 30, 2025		Adopted	Not Adopted	Not Applicable
PAS 26	Accounting and Reporting by Retirement Benefit Plans			✔
PAS 27 (Amended)	Separate Financial Statements			✔
	Amendments to PFRS 10, PFRS 12 and PAS 27: Investment Entities			✔
	Amendments to PAS 27: Equity Method in Separate Financial Statements			✔
PAS 28 (Amended)	Investments in Associates and Joint Ventures			✔
	Amendments to PFRS 10, PFRS 12 and PAS 28: Investment Entities: Applying the Consolidation Exception			✔
PAS 29	Financial Reporting in Hyperinflationary Economies			✔
PAS 32	Financial Instruments: Presentation	✔		
	Amendments to PAS 32 and PAS 1: Puttable Financial Instruments and Obligations Arising on Liquidation			✔
	Amendment to PAS 32: Classification of Rights Issues			✔
	Amendments to PAS 32: Offsetting Financial Assets and Financial Liabilities	✔		
PAS 33	Earnings per Share	✔		
PAS 34	Interim Financial Reporting			✔
PAS 36	Impairment of Assets	✔		
	Amendments to PAS 36: Recoverable Amount Disclosures for Non-Financial Assets	✔		
PAS 37	Provisions, Contingent Liabilities and Contingent Assets	✔		
PAS 38	Intangible Assets			✔
	Amendments to PAS 16 and PAS 38: Clarification of Acceptable Methods of Depreciation and Amortization	✔		
PAS 40	Investment Property	✔		
	Amendments to PAS 40: Transfers of Investment Property			✔
PAS 41	Agriculture			✔
	Amendments to PAS 16 and PAS 41: Agriculture: Bearer Plants			✔
Philippine Interpretations				
IFRIC 1	Changes in Existing Decommissioning, Restoration and Similar Liabilities			✔

PHILIPPINE FINANCIAL REPORTING STANDARDS AND INTERPRETATIONS Effective as at September 30, 2025		Adopted	Not Adopted	Not Applicable
IFRIC 2	Members' Share in Co-operative Entities and Similar Instruments			✔
IFRIC 4	Determining Whether an Arrangement Contains a Lease	✔		
IFRIC 5	Rights to Interests arising from Decommissioning, Restoration and Environmental Rehabilitation Funds			✔
IFRIC 6	Liabilities arising from Participating in a Specific Market - Waste Electrical and Electronic Equipment			✔
IFRIC 7	Applying the Restatement Approach under PAS 29 Financial Reporting in Hyperinflationary Economies			✔
IFRIC 10	Interim Financial Reporting and Impairment			✔
IFRIC 12	Service Concession Arrangements			✔
IFRIC 14	The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction			✔
	Amendments to Philippine Interpretations IFRIC- 14, Prepayments of a Minimum Funding Requirement			✔
IFRIC 16	Hedges of a Net Investment in a Foreign Operation			✔
IFRIC 17	Distributions of Non-cash Assets to Owners			✔
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments			✔
IFRIC 20	Stripping Costs in the Production Phase of a Surface Mine			✔
IFRIC 21	Levies			✔
IFRIC 22	Foreign Currency Transactions and Advance Consideration			✔
SIC-7	Introduction of the Euro			✔
SIC-10	Government Assistance - No Specific Relation to Operating Activities			✔
SIC-15	Operating Leases – Incentives			✔
SIC-25	Income Taxes - Changes in the Tax Status of an Entity or its Shareholders			✔
SIC-27	Evaluating the Substance of Transactions Involving the Legal Form of a Lease	✔		
SIC-29	Service Concession Arrangements: Disclosures			✔
SIC-32	Intangible Assets - Web Site Costs			✔

Not Applicable – Standards and interpretations that are effective as at January 1, 2018 but will never be applicable to the Company due to the nature of its operations or not relevant to the Company because there are currently no related transactions.

Not Adopted – Standards and interpretations that are already issued but are not effective for the year ended December 31, 2018 and were not early adopted by the Company.

Please refer to Note 2 to the financial statements for related discussion on the assessed impact on the Company's financial statements on the adoption of new standards and interpretations effective in 2018 and onwards.

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE A – FINANCIAL ASSETS
September 30, 2025

Name of issuing entity and association of each issue	Number of shares or principal amount of bonds and notes	Amount shown in the statement of financial position	Valued based on market quotation at end of reporting period	Income received and accrued
				₱ -
Atlas Consolidated Mining and Development Corp.	17,553,500	73,022,560	73,022,560	(3,657,950)
Cebu Air, Inc.	4,735,200	168,372,630	168,372,630	(40,524,566)
Filinvest Land, Inc.	429,670,877	352,330,119	352,330,119	36,686,957
Filinvest REIT Corporation	268,750,123	895,162,902	895,162,902	60,827,026
First Philippine Holdings Corporation	5,947,935	440,147,190	440,147,190	82,189,497
Global-Estate Resort, Inc,	160,359,500	109,044,460	109,044,460	6,535,780
Global Ferronickel Holdings, Inc.	13,442,000	19,356,480	19,356,480	5,193,720
Megaworld Corporation	116,095,300	231,029,647	231,029,647	6,838,499
MREIT, Inc.	80,636,400	1,080,527,760	1,080,527,760	(14,611,961)
OceanaGold (Philippines), Inc.	29,886,700	805,446,566	805,446,566	320,582,653
Philippine National Bank	18,538,970	982,565,410	982,565,410	412,033,524
Shell Pilipinas Corporation	700,400	3,992,280	3,992,280	(1,232,470)
Vista Land & Lifescapes Inc.	62,677,500	70,198,800	70,198,800	(23,581,250)
Total	1,208,994,405	₱ 5,231,196,803	₱ 5,231,196,803	₱ 847,279,459

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE B - ACCOUNTS RECEIVABLE FROM DIRECTORS, OFFICERS AND EMPLOYEES
RELATED PARTIES AND PRINCIPAL STOCKHOLDERS (OTHER THAN RELATED PARTIES)
FOR THE PERIOD ENDED SEPTEMBER 30, 2025

	Name of Debtor	Debtor designation	Balance at beginning of the period	Additions	Amount Collected	Current	Non current	Balance at end of the period
1	Tiu, Francis	Officer	693,963	208,160	229,209	397,292	275,622	672,914
2	Sangalang, Alexander	Staff	623,227	689,234	641,916	670,544		670,544
3	Ascano, Mark Alf	Officer	-	647,279	26,970	593,339	26,970	620,309
4	Lim, Jay Adam	Staff	-	647,279	59,334	528,611	59,334	587,945
5	Peralta, Marco Eugenio	Staff	-	647,279	86,304	474,672	86,304	560,975
6	Competente, Roque	Officer	569,068	-	63,433	442,202	63,433	505,635
7	Namilit, Guillermo Jr	Staff	554,637	80	53,668	501,050		501,050
8	Veloso, Rolando	Officer	573,921	-	109,318	355,285	109,318	464,603
9	Jagonap, Felix	Staff	550,187	-	86,304	377,579	86,304	463,883
10	Gojeling, Rhey	Staff	-	833,000	375,000	458,000		458,000
11	Honra, Emerson	Staff	539,399	-	97,092	442,307		442,307
12	Hermino. Jonathan	Staff	571,262	-	170,478	230,305	170,478	400,784
13	Dy, Carlitos Nazar	Officer	460,400	17,691	83,768	11,294	383,029	394,323
14	Fernandez, Julie Ann	Staff	-	388,600	-	388,600		388,600
16	Acostan, Roberto Jt	Staff	496,247	-	107,880	388,367		388,367
17	Buison, Ma. Lilibeth	Staff	-	396,500	13,580	382,920		382,920
18	Yañez, Joemar	Staff	463,648	-	86,304	291,040	86,304	377,344
19	Husain, Primitivo	Staff	430,541	43,055	96,872	376,724		376,724
20	Manto, Rtemio Joseph	Staff	-	645,516	271,303	374,213		374,213
21	Bala, Nonito Jr	Staff	387,487	67,855	100,146	355,197		355,197
22	Demetrio, Yvonne	Staff	339,640	30,598	15,595	354,643		354,643
23	Aba-a, Marchiel	Staff	325,551	-	-	325,551		325,551
24	Reponte, Daryl	Staff	-	307,737	31,086	276,651		276,651
25	Aguadera, Jonax	Officer	657,623	5,241	399,385	5,000	258,478	263,478
26	Cuady IV, Julius	Staff	348,124	52,934	168,849	232,209	-	232,209
27	Villegas, Franz Jonas	Officer	363,915	-	132,333	99,250	132,333	231,582
28	Pineda, Editha	Staff	440,143	251,930	467,034	225,038		225,038
29	Megalang, Jason	Staff	-	200,857	4,177	196,681		196,681
30	Onos, Edgardo Jr	Staff	-	198,250	12,680	185,570		185,570
31	Ablong, Ranny	Staff	-	389,591	223,591	166,000		166,000
32	Sumillano, Jeremy Riel	Officer	628,580	950,000	1,412,898	(0)	165,682	165,682
33	Abuyog, Rudy	Officer	100,000	98,411	33,818	164,592		164,592
34	Limba, Elmer	Staff	160,381	304,621	309,002	156,000		156,000
35	Culasito, Ariel	Staff	199,350	4,690	49,514	154,526		154,526
36	Molero, Lilian	Staff	256,130	400	103,010	153,520		153,520
37	Oghayon, Renato	Staff	-	152,078	13,327	138,750		138,750
38	Naive, Shojie	Staff	122,194	-	-	122,194		122,194
39	Gerundio, Nielmar	Staff	166,595	480	45,657	121,418		121,418
40	Villarta, Mikee Jane	Staff	140,377	1,600	30,617	111,360		111,360
41	Villar, Maria Lyn	Staff	157,349	517	51,493	106,373		106,373
42	Barbajo, Joey	Staff	105,767	-	-	105,767		105,767
43	Boquecosa, Reymund	Staff	144,419	1,669	46,266	99,823		99,823
44	Abarro, Marlou	Staff	147,746	34,526	91,354	90,918		90,918
45	Collamat, Jeffry	Staff	113,759	1,669	26,315	89,114		89,114
46	Calabia, Mila	Staff	165,793	69,400	161,205	73,987		73,987
47	Gomez, Roger	Officer	139,557	-	86,304	(0)	53,253	53,253
48	Ragas, Ma. Christa	Officer	104,902	-	76,293	(0)	28,610	28,610
49	Baco, Michael	Officer	109,318	-	109,318	0		0
50	Various Employees	Staff	46,170,103	146,651,790	149,261,283	43,560,610	-	43,560,610
	TOTAL		**58,521,302**	**154,940,517**	**156,121,282**	**55,355,086**	**1,985,452**	**57,340,537**

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE C – AMOUNTS RECEIVABLE FROM RELATED PARTIES WHICH ARE ELIMINATED DURING THE CONSOLIDATION OF FINANCIAL STATEMENTS
September 30, 2025

Name and designation of creditor	Name and designation of debtor	Balance at beginning of period	Additions	Amounts collected	Amounts written-off	Current	Non-Current	Balance at end of period
Pryce Gases, Inc.	Pryce Corp.	₱ 387,696,123	₱ 702,835,892	₱ 853,935,545	-	-		₱ 236,596,470
Pryce Gases, Inc.	San Fabian LPG Corp.	139,210,617	143,046,552	211,364,335	-	-		70,892,834
		₱ 526,906,740	**₱ 845,882,444**	**₱ 1,065,299,880**	**-**	**-**	**-**	**₱ 307,489,304**

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE D – INTANGIBLE ASSETS - OTHER ASSETS
September 30, 2025

Description	Beginning balance	Additions at cost	Charged to cost and expenses	Charged to other accounts	Other charges additions (deductions)	Ending balance
Goodwill	₱ 70,668,305	₱ –	₱ –	₱ –	₱ –	₱ 70,668,305

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE E – LONG TERM DEBT
September 30, 2025

Title of issue and type of obligation	Amount authorized by indenture	Amount shown under caption "Current portion of long term debt" in related statement of financial position	Amount shown under caption "Long-term debt" in the related statement of financial position
-N I L-	Not Applicable		

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE F – INDEBTEDNESS TO RELATED PARTIES (LONG TERM LOANS FROM RELATED COMPANIES)
September 30, 2025

Name of related party	Balance at beginning of period	Balance at end of period
-N I L-	Not Applicable	Not Applicable

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE G – GUARANTEES OF SECURITIES OF OTHER ISSUERS
September 30, 2025

Name of issuing entity of securities guaranteed by the Company for which this statement is filed	Title of issue of each class of securities guaranteed	Total amount guaranteed and outstanding	Amount owned by person for which statement is filed	Nature of guarantee
-N I L-		Not Applicable		

PRYCE CORPORATION AND SUBSIDIARIES
SCHEDULE H – CAPITAL STOCK
September 30, 2025

Title of issue	Number of shares authorized	Number of shares subscribed and outstanding	Number of shares reversed for options, warrants, conversion and other rights	Number of shares held by related parties	Directors, officers and employees	Others
Common shares	2,024,500,000	1,880,546,169	–	460,173,464	60,309,610	1,360,063,095

PRYCE CORPORATION (Parent Company)
Aging of Accounts Receivable
As of September 30, 2025

Type of Accounts Receivable	**Total**	1-30 days	31-90 days	91-180 days	Over 180 days	1 year and above
a. Trade Receivables						
1. Subdivision	**1,344,031**					1,344,031
2. Low-cost housing	**396,357**	9,964	18,017	34,416	52,591	281,369
3. Memorial Parks	**101,622,346**	12,572,055	15,346,278	19,705,801	24,764,229	29,233,983
4. Head Office	**7,957,255**					7,957,255
Totals	**111,319,989**	**12,582,019**	**15,364,295**	**19,740,217**	**24,816,820**	**38,816,638**
Less: Allow. For Doubtful Acct.						
Sub Total	***111,319,989***	***12,582,019***	***15,364,295***	***19,740,217***	***24,816,820***	***38,816,638***
b. Non-trade Receivables						
Advances to Officers & Employees	**4,110,611**	275,509	576,586	535,920	688,813	2,033,783
Advances to Suppliers & Contractors						
Others	**575,446**	575,446				
Totals	**4,686,057**	**850,955**	**576,586**	**535,920**	**688,813**	**2,033,783**
Less: Allow. For Doubtful Acct.						
Sub Total	***4,686,057***	***850,955***	***576,586***	***535,920***	***688,813***	***2,033,783***
Grand Total	***116,006,046***	***13,432,974***	***15,940,881***	***20,276,137***	***25,505,633***	***40,850,421***

Accounts Receivable Description

Type of Receivables	Nature/Description	Collection period
1. Installment Receivables	**Subdivision**	1-7 years
	Low cost housing	1-15 years
	Memorial parks	1-5 years
	Condominium Office	1-5 years
	Commercial lot	1-3 years
	Head Office	1-3 months